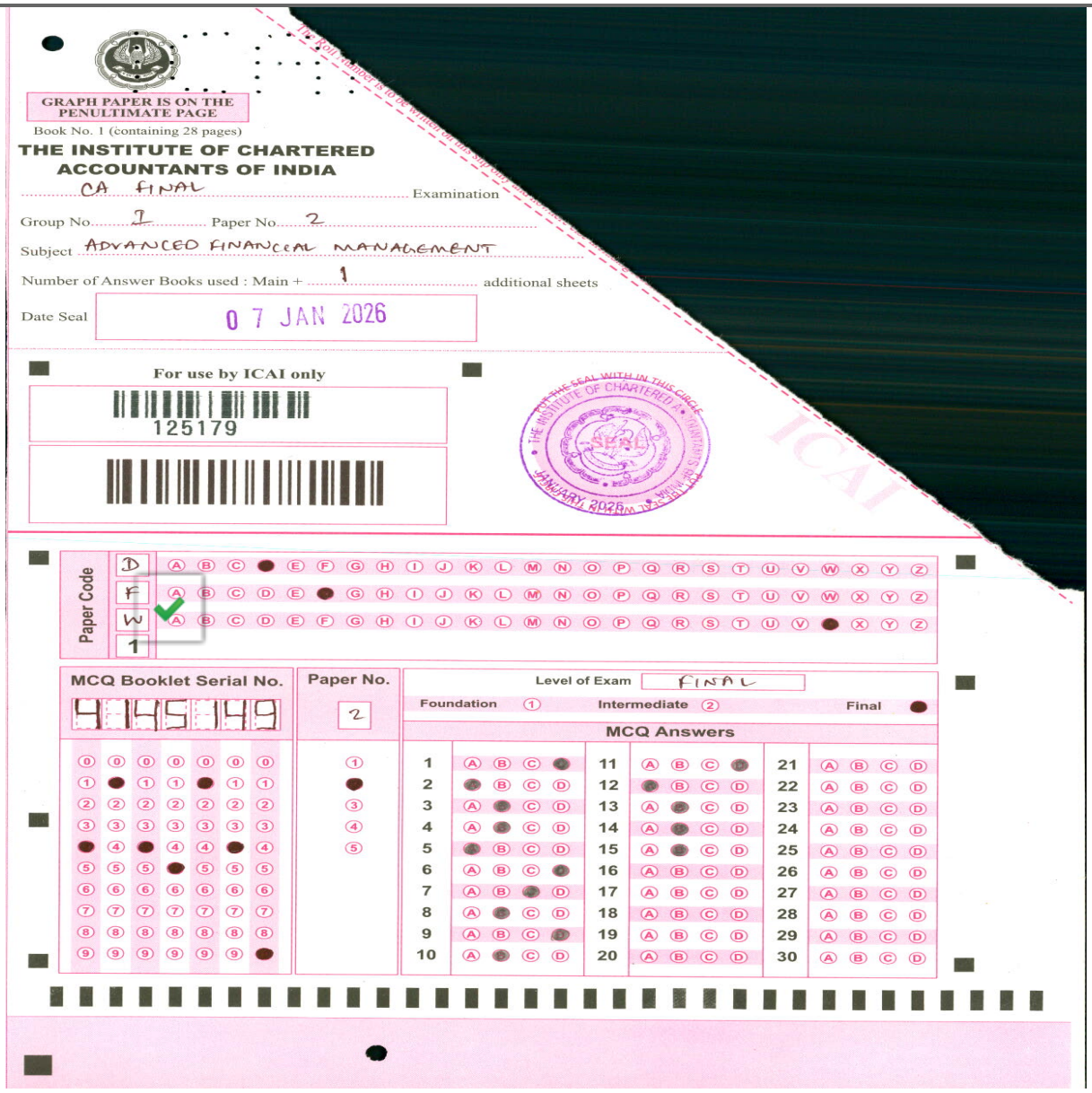
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Code: FN2AF125179 **Total Marks:** 70

Subject : 02 Advanced Financial Management **Marks Obtained :** 50



GRAPH PAPER IS ON THE PENULTIMATE PAGE

Book No. 1 (containing 28 pages)

THE INSTITUTE OF CHARTERED ACCOUNTANTS OF INDIA

CA FINAL Examination

Group No. I Paper No. 2

Subject ADVANCED FINANCEAL MANAGEMENT

Number of Answer Books used : Main + 1 additional sheets

Date Seal 07 JAN 2026

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125179

Paper Code: D F W 1

MCQ Booklet Serial No.: 9145149

Paper No.: 2

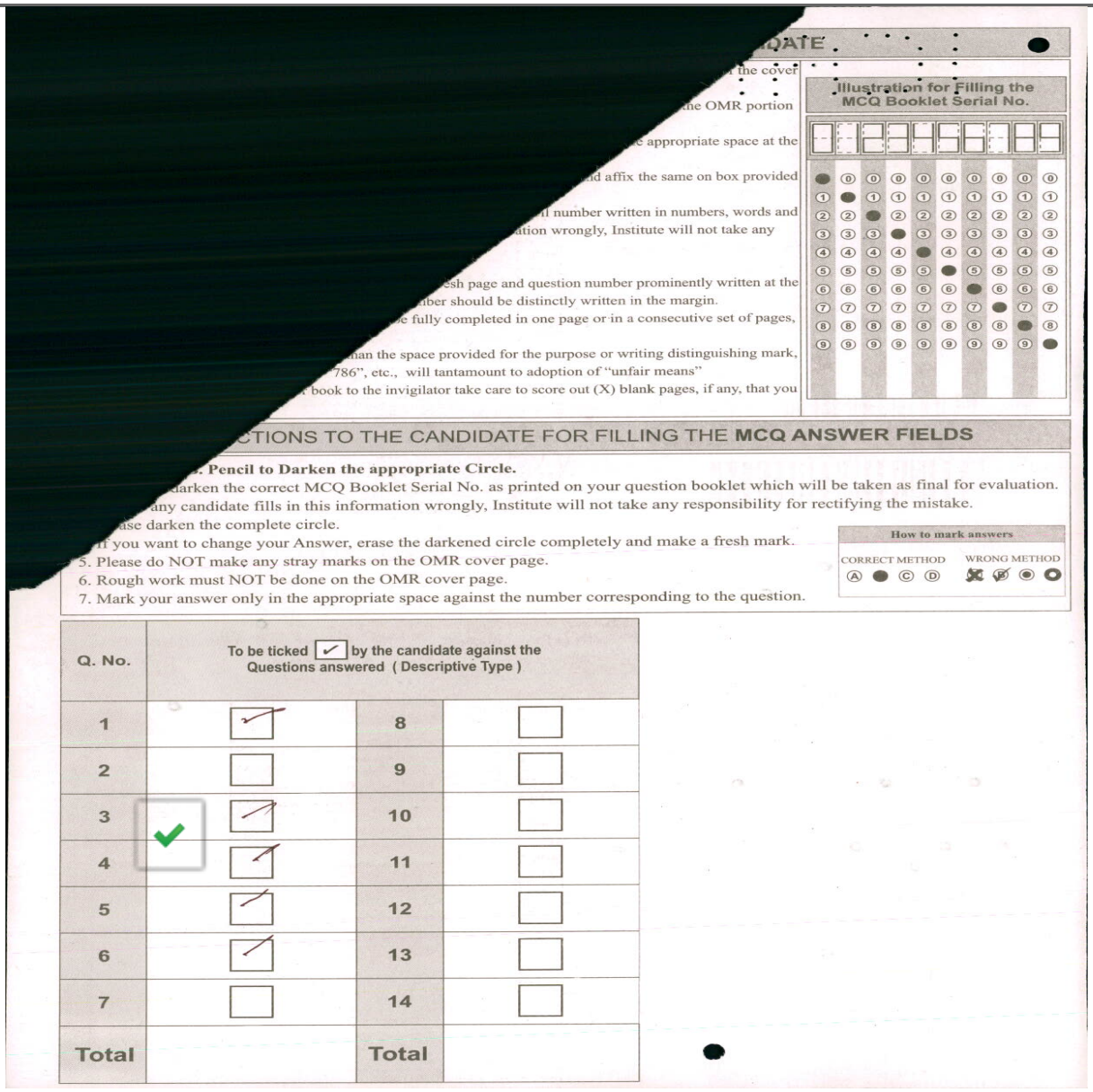
Level of Exam: FINAL (Foundation ① Intermediate ② Final ●)

MCQ Answers

1	A	11	A	21	A
2	B	12	B	22	B
3	B	13	B	23	B
4	B	14	B	24	B
5	D	15	B	25	D
6	D	16	D	26	D
7	C	17	D	27	D
8	B	18	D	28	D
9	C	19	D	29	D
10	B	20	D	30	D

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Code: FN2AF125179 **Total Marks:** 70
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...han the space provided for the purpose or writing distinguishing mark,
...786", etc., will tantamount to adoption of "unfair means"
...book to the invigilator take care to score out (X) blank pages, if any, that you

Illustration for Filling the MCQ Booklet Serial No.

...CTIONS TO THE CANDIDATE FOR FILLING THE **MCQ ANSWER FIELDS**

...**Pencil to Darken the appropriate Circle.**
...darken the correct MCQ Booklet Serial No. as printed on your question booklet which will be taken as final for evaluation.
...any candidate fills in this information wrongly, Institute will not take any responsibility for rectifying the mistake.
...ase darken the complete circle.
...If you want to change your Answer, erase the darkened circle completely and make a fresh mark.
5. Please do NOT make any stray marks on the OMR cover page.
6. Rough work must NOT be done on the OMR cover page.
7. Mark your answer only in the appropriate space against the number corresponding to the question.

How to mark answers
CORRECT METHOD WRONG METHOD

Q. No.	To be ticked ☑ by the candidate against the Questions answered (Descriptive Type)		
1	☑	8	☐
2	☐	9	☐
3	☑	10	☐
4	☑	11	☐
5	☑	12	☐
6	☑	13	☐
7	☐	14	☐
Total		Total	

03

Question 5

5(a)

(i) Ranking using Treynor Ratio

Security	Expected (R_x)	Risk Free R_F	β	$\frac{R_x - R_F}{\beta}$ Treynor Ratio	[Descending] Ranking
A	5	7	0.5	−4	V
B	25	7	2.5	7.2	III
C	15	7	1.0	8	I
D	10	7	1.5	2	IV
E	20	7	1.8	7.22	II

5aStep1 2

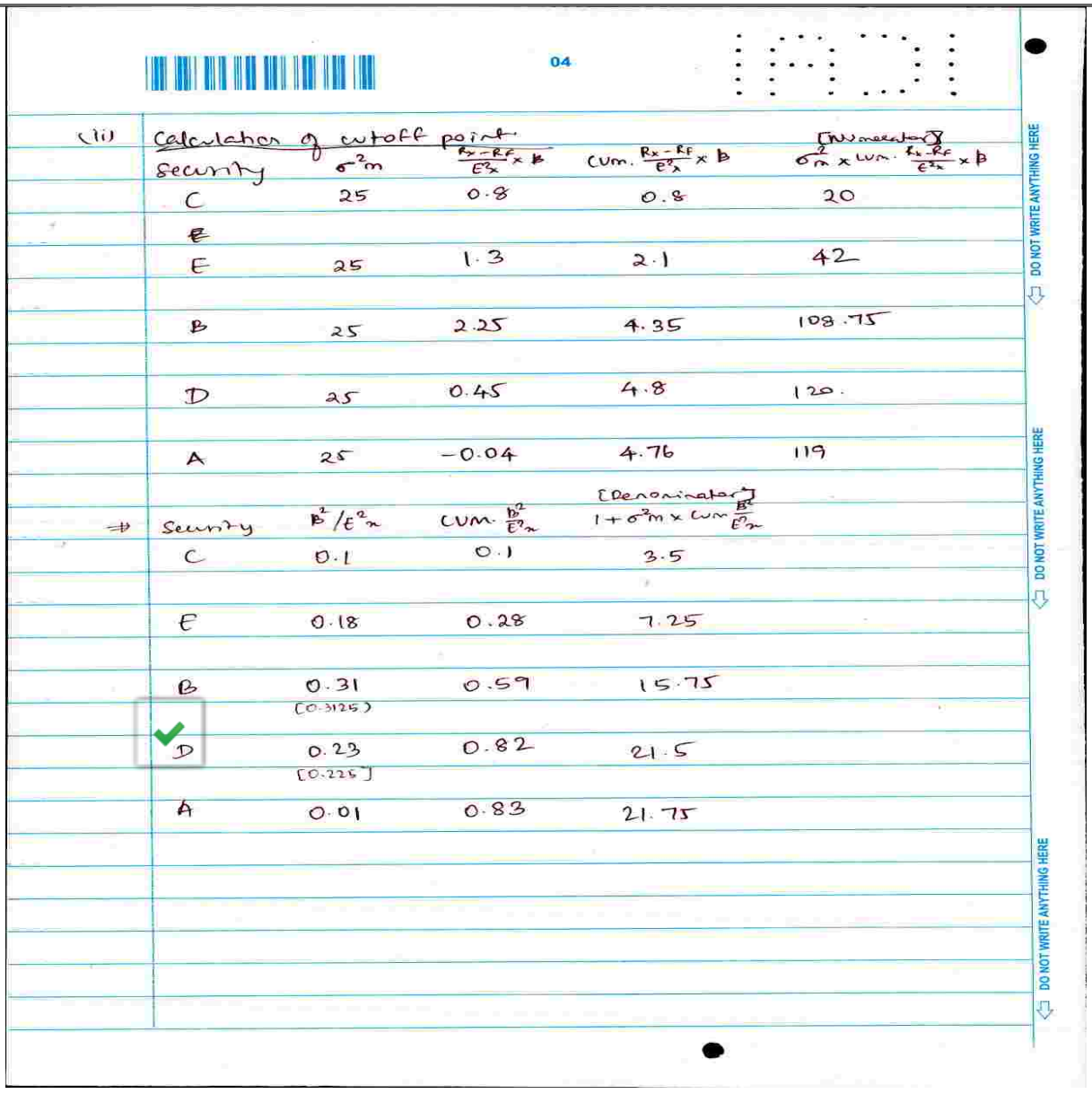
Cutoff point = $\frac{\sigma_m^2 \times \text{cum.}\left[\frac{R_x - R_F}{E^2_x} \times \beta\right]}{1 + \sigma_m^2 \times \text{cum.}\left[\frac{\beta^2_x}{E^2_x}\right]}$

Calculation of $\frac{R_x - R_F}{E^2_x}$

	$R_x - R_F$	E^2_x	$\frac{R_x - R_F}{E^2_x}$	β	$\frac{R_x - R_F}{E^2_x} \times \beta$
C	8	~~25~~ 10	0.8	~~0.5~~ 1.0	0.8
E	13	~~20~~ 18	0.72	~~2.5~~ 1.8	1.30 [rounded 1.296]
B	18	~~10~~ 20	0.9	+ 2.5	2.25
D	3	~~10~~ 10	0.3	1.5	0.45
A	−2	25	−0.08	0.5	−0.04

Note: In Absence of information, Numbers rounded off to 2 Decimals

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04

(iii) Calculation of cutoff point

Security	σ^2_m	$\frac{R_x - R_f}{\beta_x} \times \beta$	Cum. $\frac{R_x - R_f}{\beta_x} \times \beta$	[Numerator] $\sigma^2_m \times$ Cum. $\frac{R_x - R_f}{\beta_x} \times \beta$
C	25	0.8	0.8	20
~~E~~				
E	25	1.3	2.1	42
B	25	2.25	4.35	108.75
D	25	0.45	4.8	120
A	25	−0.04	4.76	119

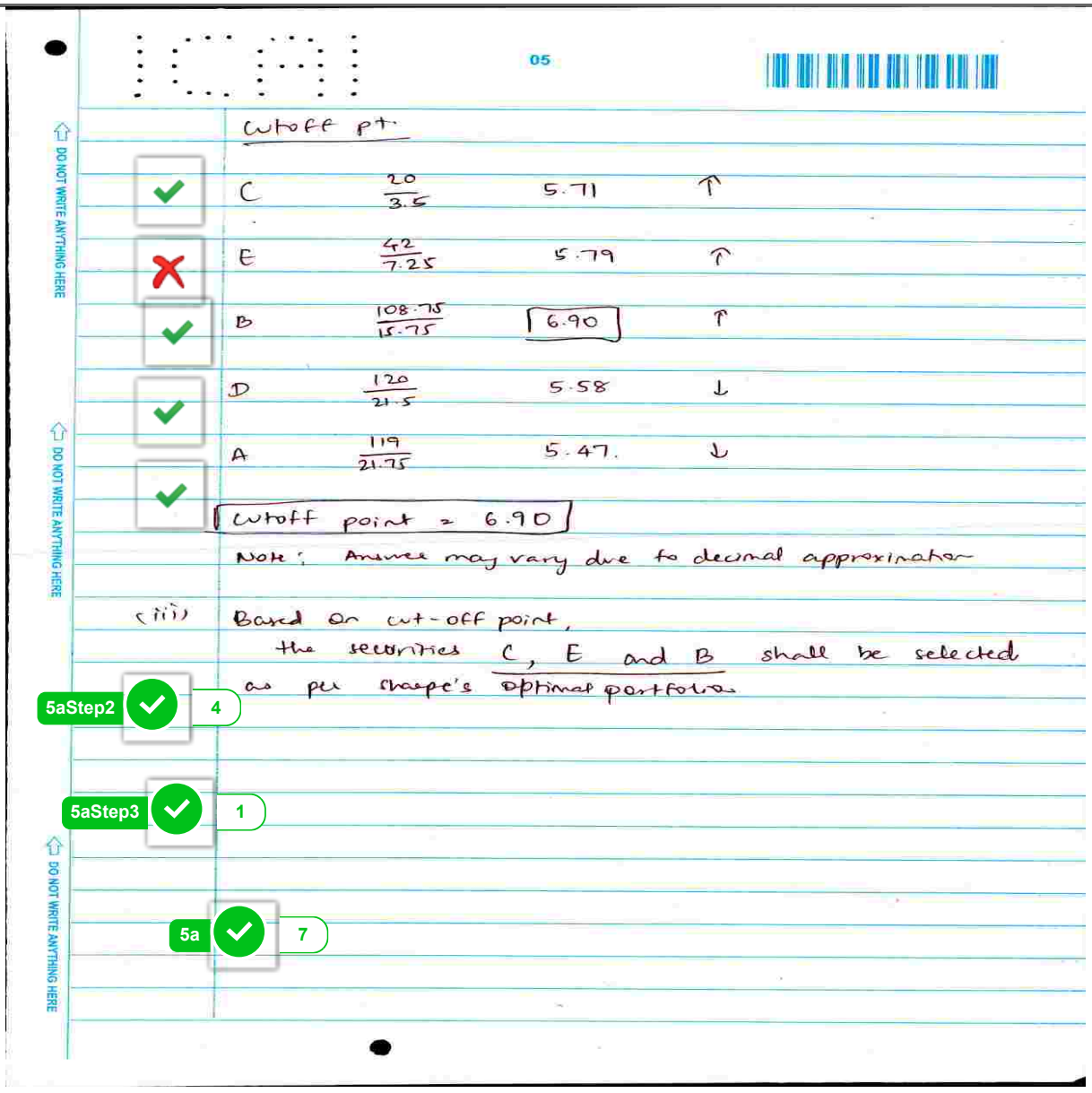
⇒

Security	β^2/ε^2_x	Cum. $\frac{\beta^2}{\varepsilon^2_x}$	[Denominator] $1 + \sigma^2_m \times$ Cum $\frac{\beta^2}{\varepsilon^2_x}$
C	0.1	0.1	3.5
E	0.18	0.28	7.25
B	0.31 (0.3125)	0.59	15.75
D	0.23 [0.225]	0.82	21.5
A	0.01	0.83	21.75

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05

Cutoff pt.

C	$\frac{20}{3.5}$	5.71	↑
E	$\frac{42}{7.25}$	5.79	↑
B	$\frac{108.75}{15.75}$	6.90	↑
D	$\frac{120}{21.5}$	5.58	↓
A	$\frac{119}{21.75}$	5.47.	↓

Cutoff point = 6.90

Note: Answer may vary due to decimal approximation

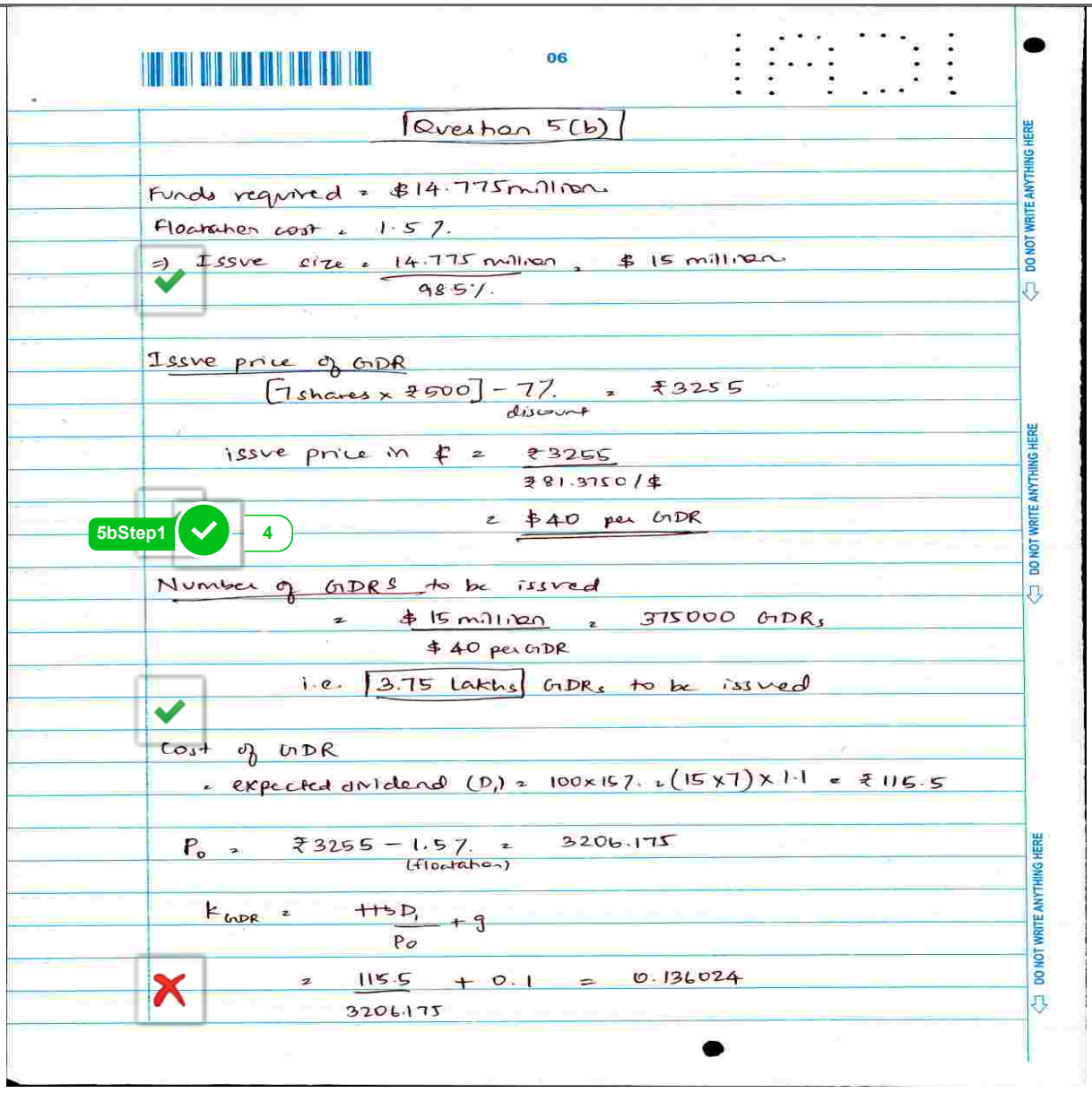
(iii) Based on cut-off point, the securities C, E and B shall be selected as per Sharpe's optimal portfolio.

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5aStep2 4

5aStep3 1

5a 7



06

Question 5(b)

Funds required = $14.775 million

Floatation cost = 1.5%

⇒ Issue size = 14.775 million / 98.5% = $15 million

Issue price of GDR

[7 shares × ₹500] − 7% discount = ₹3255

issue price in $ = ₹3255 / ₹81.3750/$

= $40 per GDR

5bStep1 4

Number of GDRs to be issued

= $15 million / $40 per GDR = 375000 GDRs

i.e. 3.75 Lakhs GDRs to be issued

Cost of GDR

= expected dividend (D_1) = 100×15% = (15×7)×1.1 = ₹115.5

P_0 = ₹3255 − 1.5% (floatation) = 3206.175

$k_{GDR} = \frac{D_1}{P_0} + g$

= 115.5 / 3206.175 + 0.1 = 0.136024

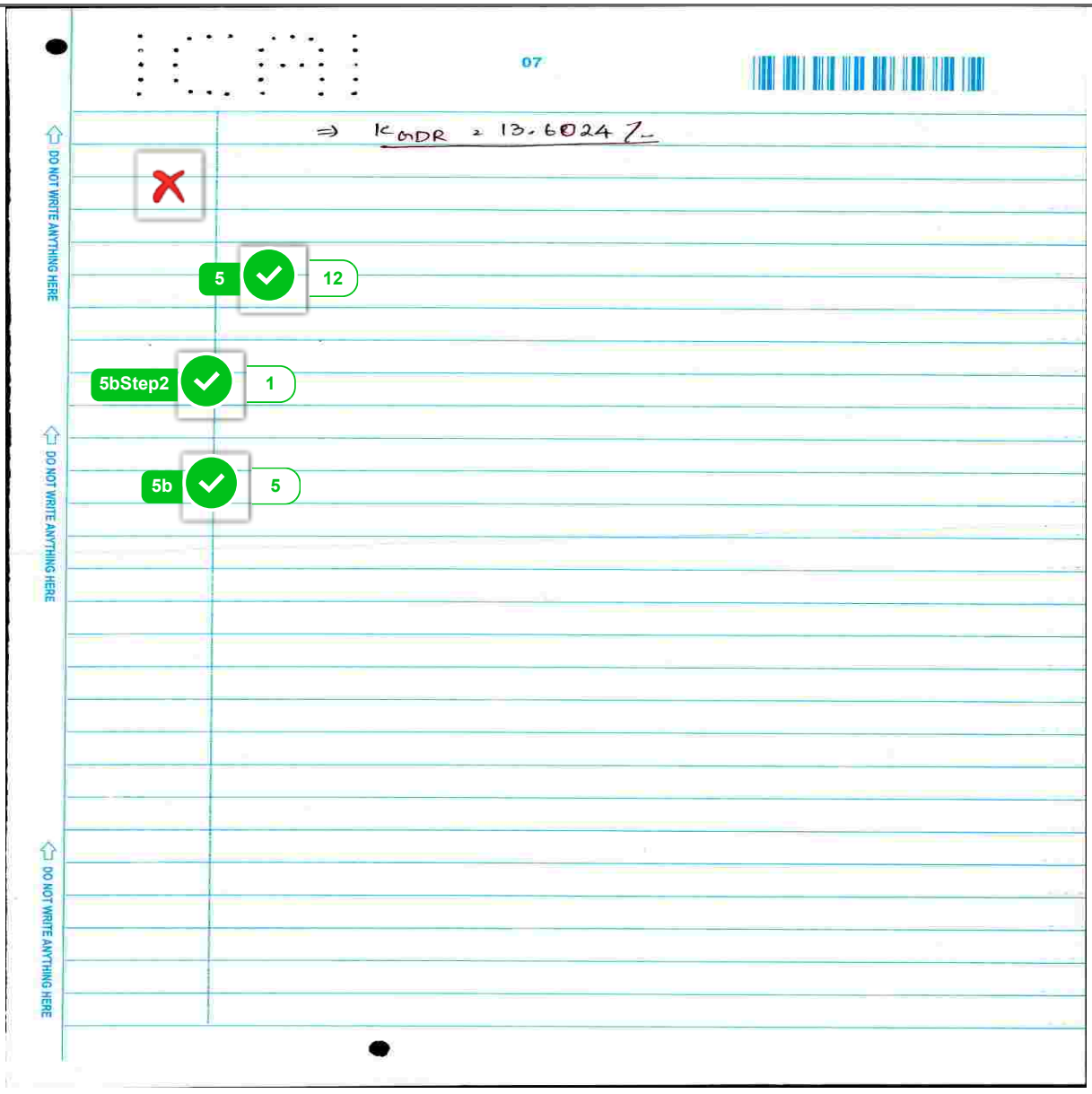
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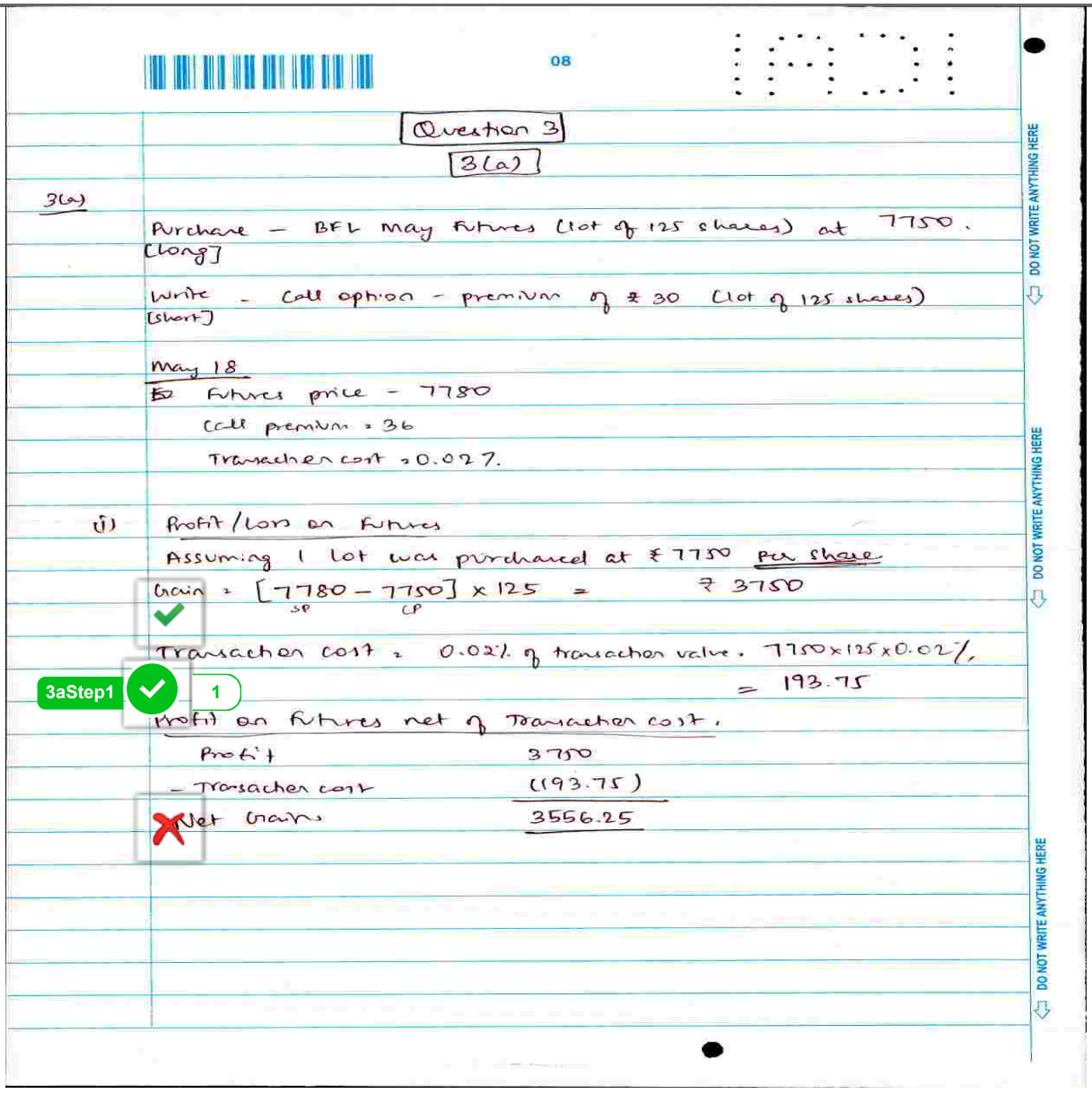
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Subject :	**02 Advanced Financial Management**	**Marks Obtained :**	**50**





08

Question 3

3(a)

3(a)

Purchase – BFL May futures (lot of 125 shares) at 7750. [Long]

Write – Call option – premium of ₹ 30 (lot of 125 shares) [short]

May 18

Futures price – 7780

Call premium = 36

Transaction cost = 0.02%

(i) Profit/Loss on futures

Assuming 1 lot was purchased at ₹ 7750 per share

Gain = [7780 – 7750] × 125 = ₹ 3750
(SP) (CP)

Transaction cost = 0.02% of transaction value. 7750 × 125 × 0.02% = 193.75

Profit on futures net of Transaction cost.

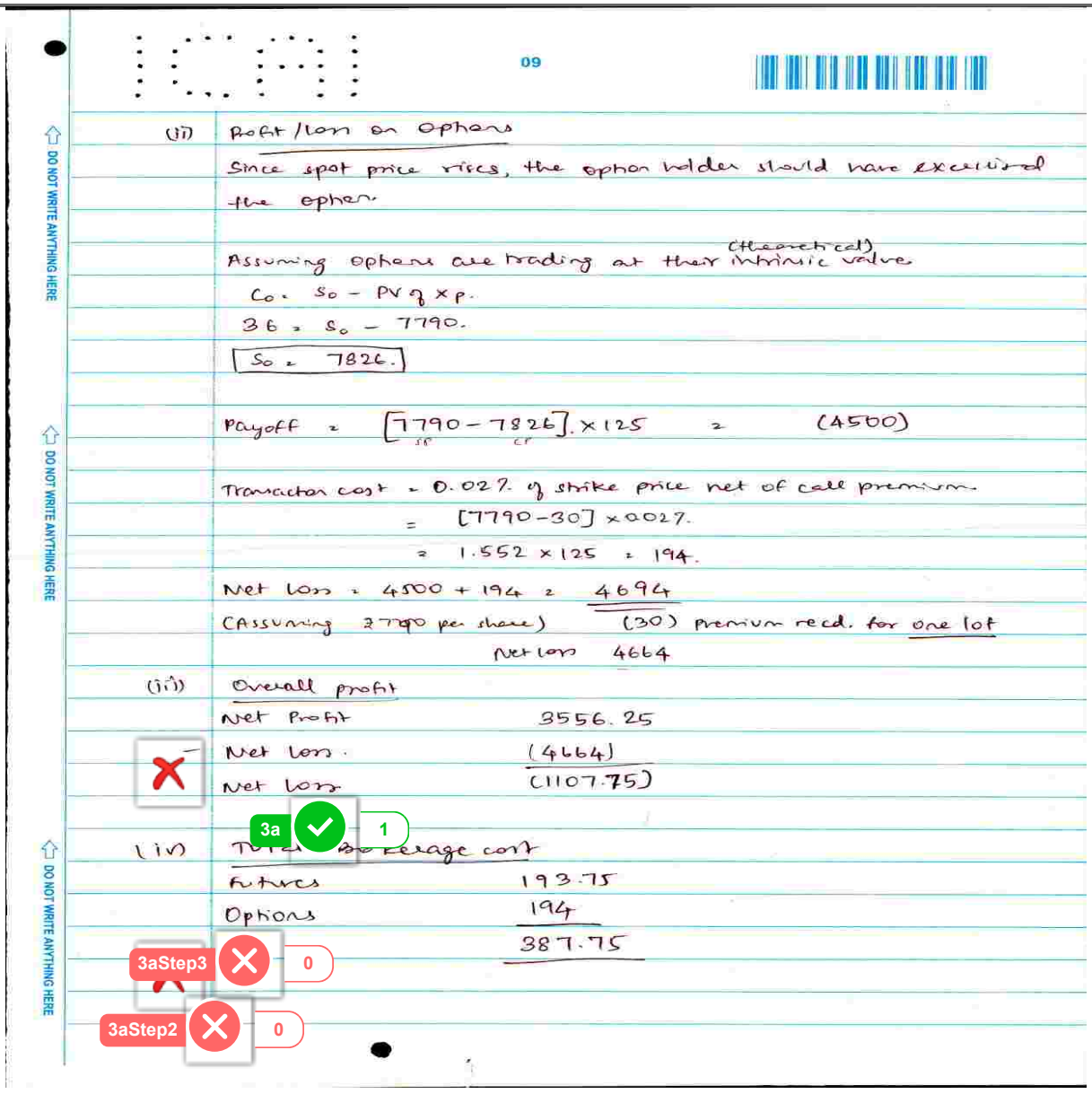
Profit	3750
– Transaction cost	(193.75)
Net Gain	3556.25

3aStep1 1

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09

(ii) Profit/loss on options

Since spot price rises, the option holder should have exercised the option.

Assuming options are trading at their intrinsic (theoretical) value

$C_0 = S_0 - PV_f \times P$.

$36 = S_0 - 7790$.

$S_0 = 7826$.

Payoff = $[7790 - 7826] \times 125 = (4500)$
(SP) (CP)

Transaction cost = 0.02% of strike price net of call premium.

$= [7790 - 30] \times 0.02\%$

$= 1.552 \times 125 = 194$.

Net loss = 4500 + 194 = 4694

(Assuming 7790 per share) (30) Premium recd. for one lot

Net loss 4664

(iii) Overall profit

Net Profit	3556.25
Net loss	(4664)
Net loss	(1107.75)

3a ✓ 1

(iv) Total Brokerage cost

Futures	193.75
Options	194
	387.75

3aStep3 ✗ 0

3aStep2 ✗ 0

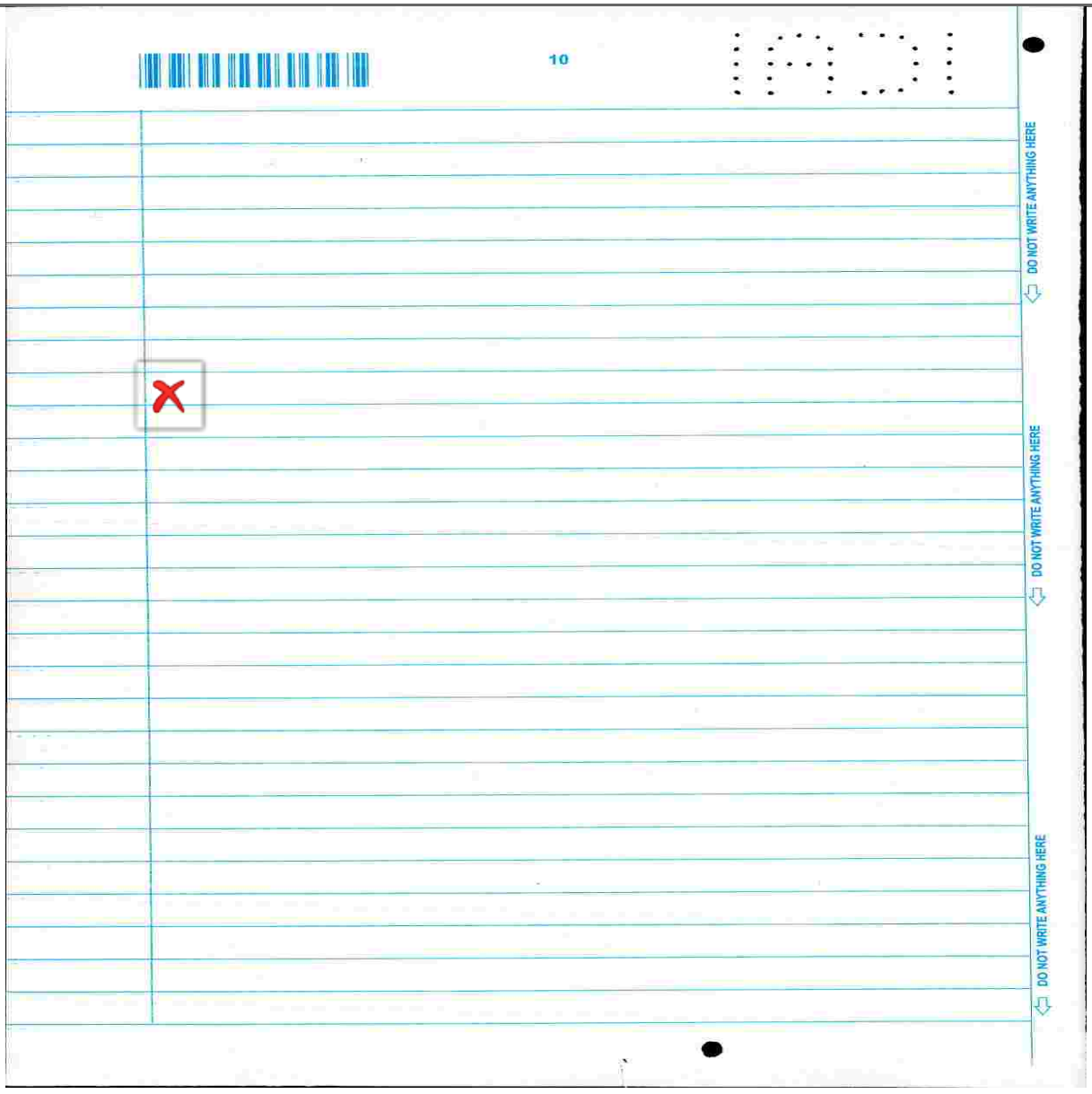
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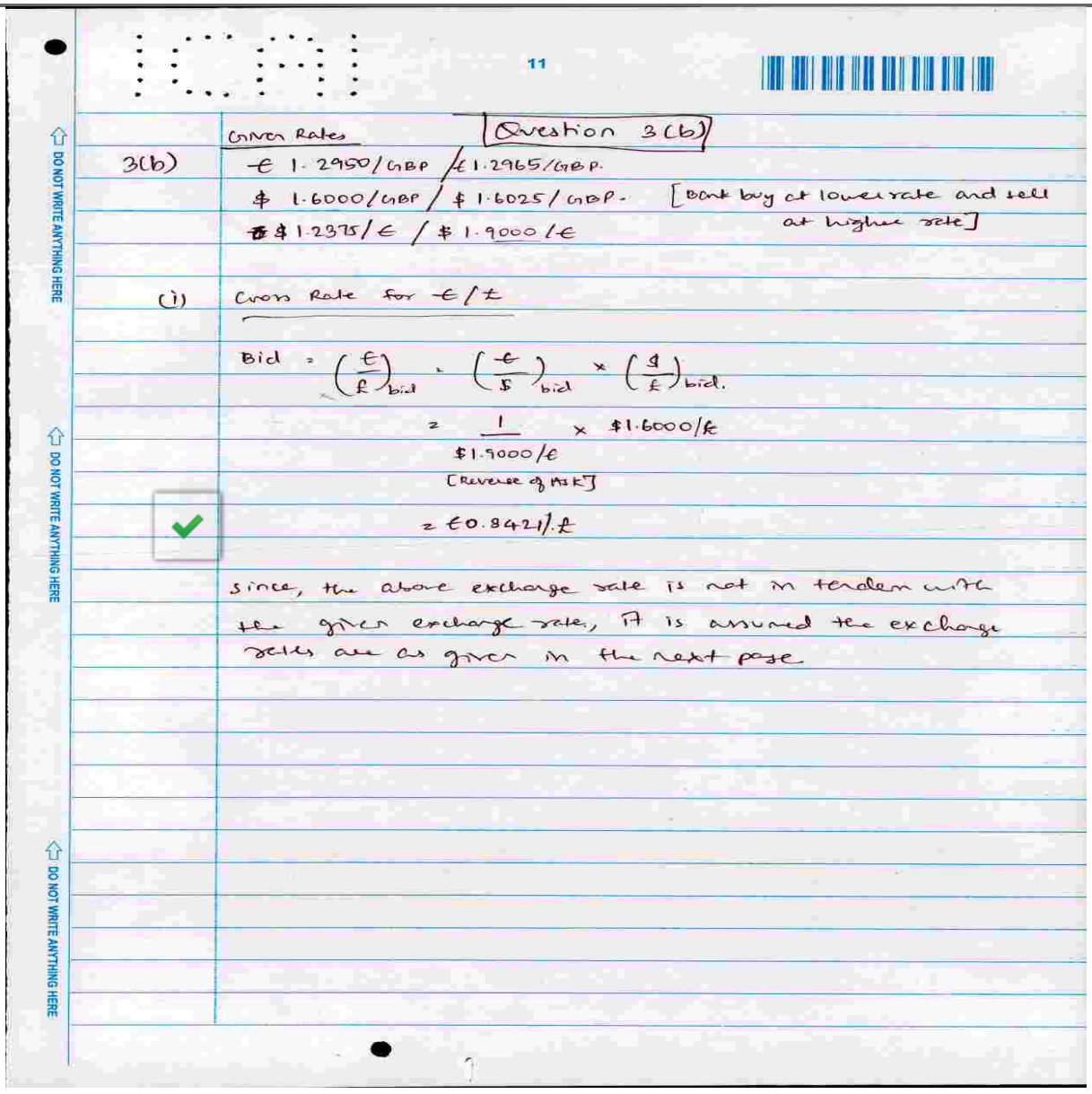
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Subject :	**02 Advanced Financial Management**	**Marks Obtained :**	**50**





11

Question 3(b)

3(b) Given Rates

€ 1.2950/GBP / €1.2965/GBP.

$ 1.6000/GBP / $ 1.6025/GBP. [Bank buy at lower rate and sell at higher rate]

$1.2375/€ / $1.9000/€

(i) Cross Rate for €/£

$$\text{Bid} = \left(\frac{€}{£}\right)_{bid} \cdot \left(\frac{€}{\$}\right)_{bid} \times \left(\frac{\$}{£}\right)_{bid}$$

$$= \frac{1}{\$1.9000/€} \times \$1.6000/£$$

[Reverse of Ask]

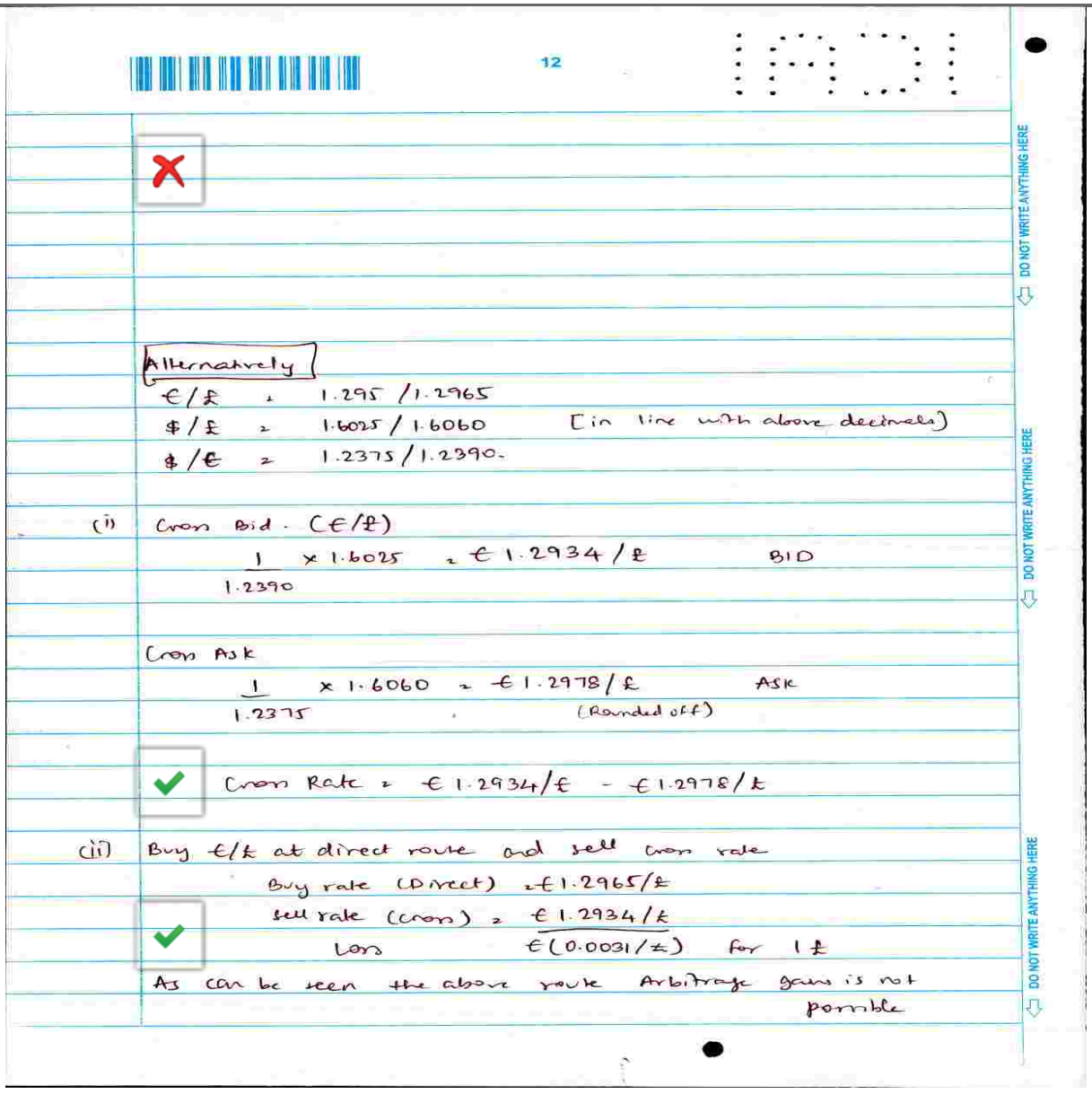
$$= €0.8421/£$$

Since, the above exchange rate is not in tandem with the given exchange rate, it is assumed the exchange rates are as given in the next page

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12

Alternatively

€/£ = 1.295 / 1.2965
$/£ = 1.6025 / 1.6060 [in line with above decimals]
$/€ = 1.2375 / 1.2390.

(i) Cross Bid. (€/£)

$\frac{1}{1.2390} \times 1.6025 = €1.2934/£$ BID

Cross Ask

$\frac{1}{1.2375} \times 1.6060 = €1.2978/£$ ASK
(Rounded off)

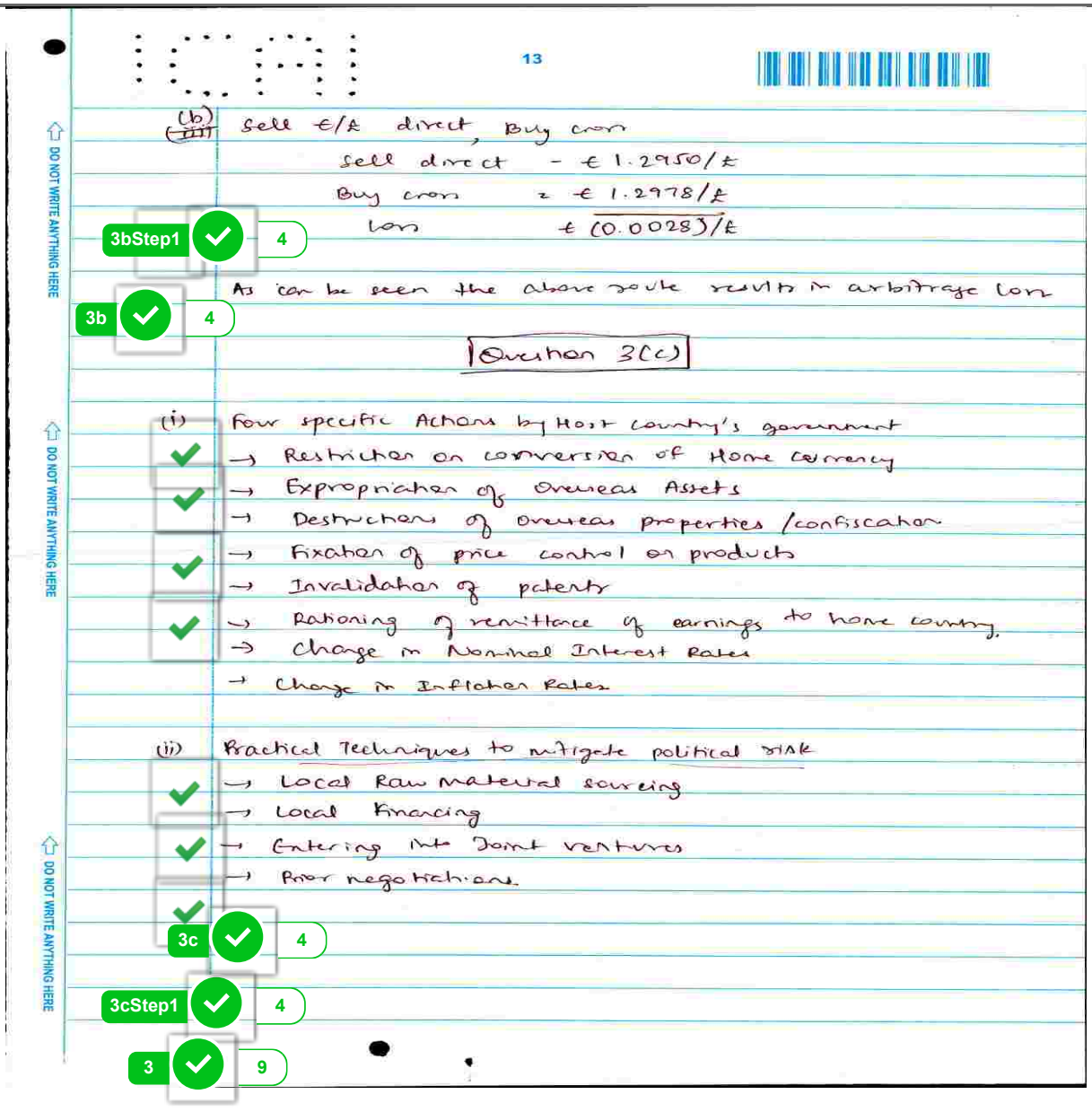
Cross Rate = €1.2934/£ - €1.2978/£

(ii) Buy €/£ at direct route and sell cross rate

Buy rate (Direct) = €1.2965/£
Sell rate (cross) = €1.2934/£
Loss €(0.0031/£) for 1£

As can be seen the above route Arbitrage gains is not possible

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13

(b) Sell €/£ direct, Buy cross

Sell direct - € 1.2950/£

Buy cross = € 1.2978/£

Loss € (0.0028)/£

3bStep1 4

As can be seen the above route results in arbitrage loss

3b 4

Question 3(c)

(i) Four specific Actions by Host country's government

→ Restriction on conversion of Home currency

→ Expropriation of Overseas Assets

→ Destruction of Overseas properties / confiscation

→ Fixation of price control on products

→ Invalidation of patents

→ Rationing of remittance of earnings to home country.

→ Change in Nominal Interest Rates

→ Change in Inflation Rates

(ii) Practical Techniques to mitigate political risk

→ Local Raw Material sourcing

→ Local Financing

→ Entering into Joint ventures

→ Prior negotiations.

3c 4

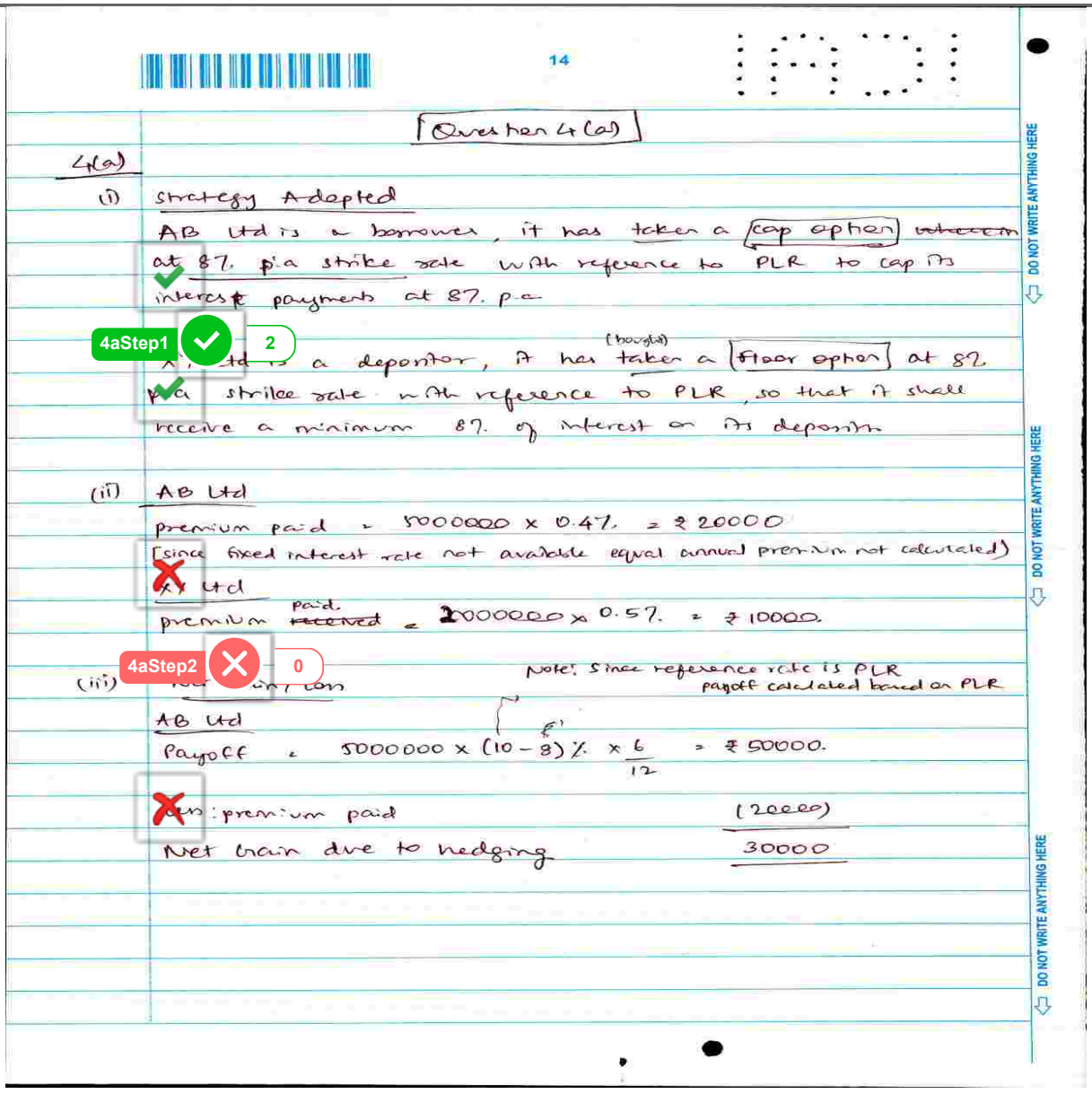
3cStep1 4

3 9

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14

Question 4 (a)

4(a)

(i) Strategy Adopted

AB Ltd is a borrower, it has taken a cap option at 8% p.a strike rate with reference to PLR to cap its interest payments at 8% p.a

4aStep1 2

A Ltd is a depositor, it has (bought) taken a floor option at 8% p.a strike rate with reference to PLR, so that it shall receive a minimum 8% of interest on its deposits

(ii) AB Ltd

premium paid = 5000000 x 0.4% = ₹ 20000

[since fixed interest rate not available equal annual premium not calculated]

A Ltd

premium ~~paid~~ received = 2000000 x 0.5% = ₹ 10000.

4aStep2 0

(iii) Net settlement

Note: Since reference rate is PLR payoff calculated based on PLR

AB Ltd

Payoff = 5000000 x (10 − 8)% x 6/12 = ₹ 50000.

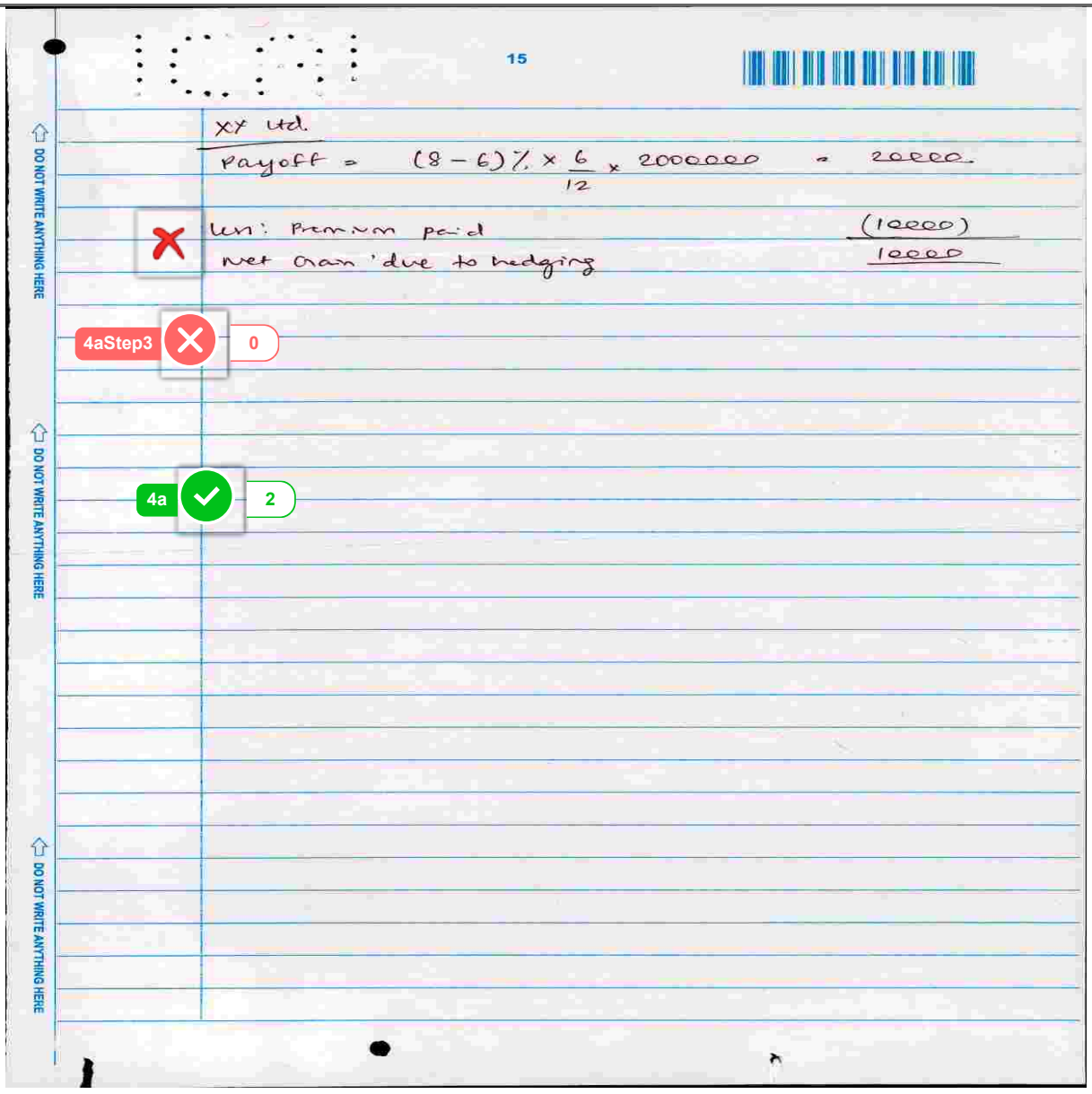
Less: premium paid (20000)

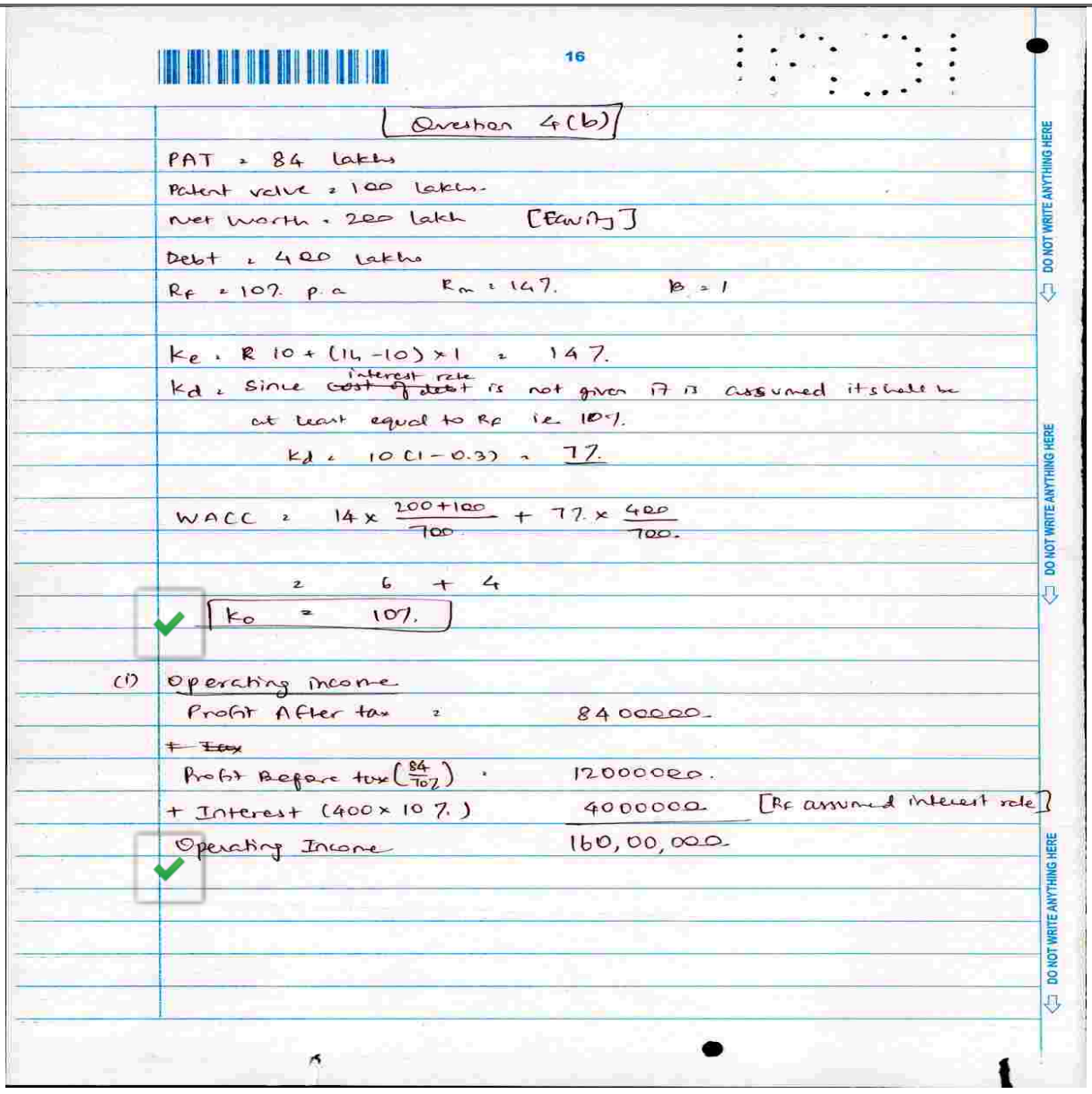
Net Gain due to hedging 30000

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15
XY Ltd.
Payoff = (8 − 6)% × 6/12 × 2000000 = 20000.
Less: Premium paid (10000)
Net Gain due to hedging 10000
4aStep3 0
4a 2
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DO NOT WRITE ANYTHING HERE
DO NOT WRITE ANYTHING HERE



16

Question 4(b)

PAT = 84 lakhs
Patent value = 100 lakhs.
Net worth = 200 lakh [Equity]
Debt = 400 lakhs
R_f = 10% p.a R_m = 14%. β = 1

K_e = R 10 + (14 − 10) × 1 = 14%.
K_d = Since ~~cost of debt~~ interest rate is not given it is assumed it should be at least equal to R_f i.e. 10%.
K_d = 10 (1 − 0.3) = 7%.

$WACC = 14 \times \frac{200+100}{700} + 7\% \times \frac{400}{700}$

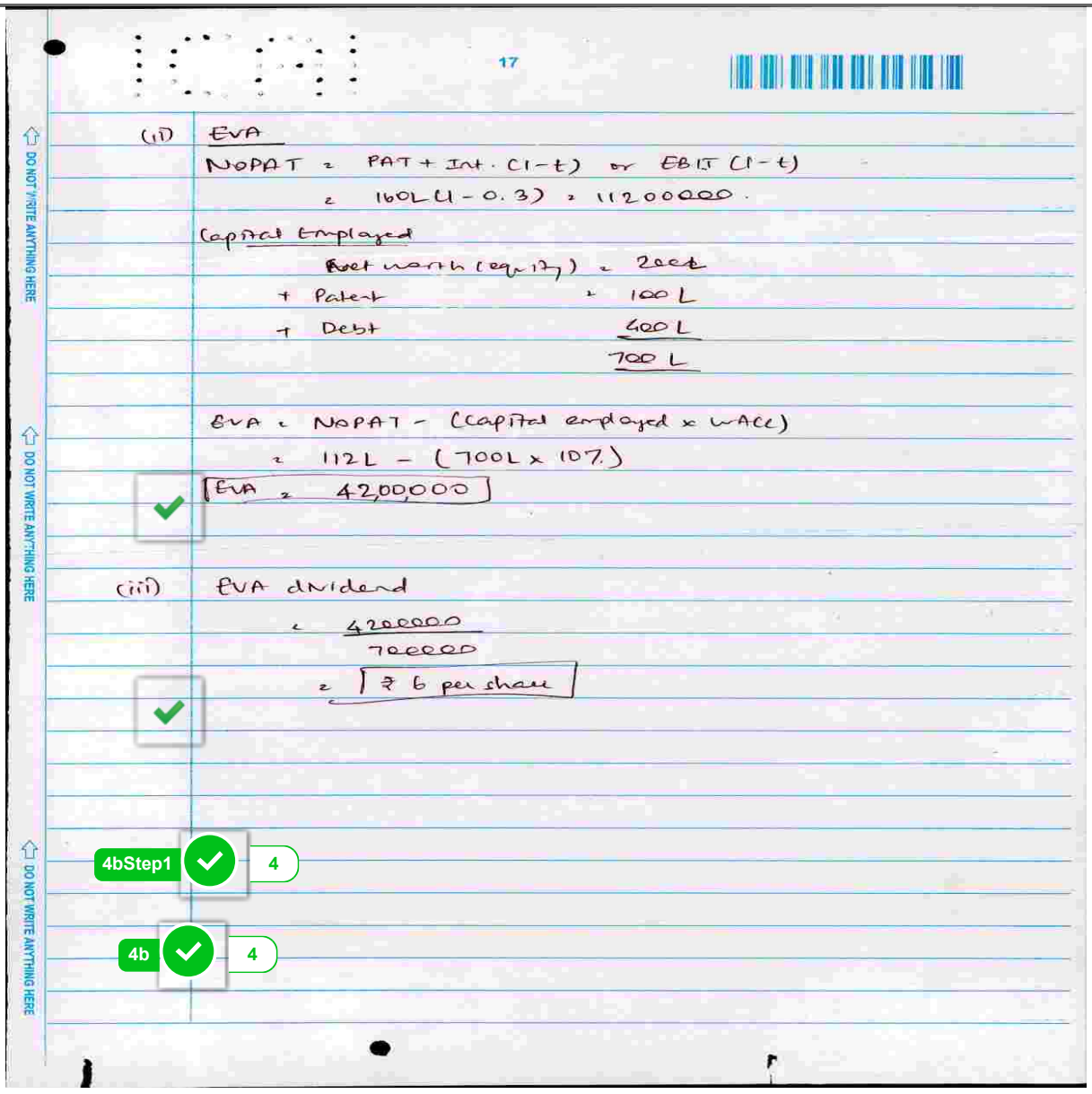
= 6 + 4

K_o = 10%.

(1) Operating income

Profit After tax =	84 00000.
~~+ Tax~~	
Profit Before tax $(\frac{84}{70})$ =	12000000.
+ Interest (400 × 10%.)	4000000 [Rf assumed interest rate]
Operating Income	160,00,000.

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17

(ii) EVA

NOPAT = PAT + Int. (1-t) or EBIT (1-t)

= 160L (1 - 0.3) = 112000000.

Capital Employed

Net worth (equity) = 200L

+ Patent = 100L

+ Debt = 400L

700L

EVA = NOPAT - (Capital employed x WACC)

= 112L - (700L x 10%)

EVA = 4200000

(iii) EVA dividend

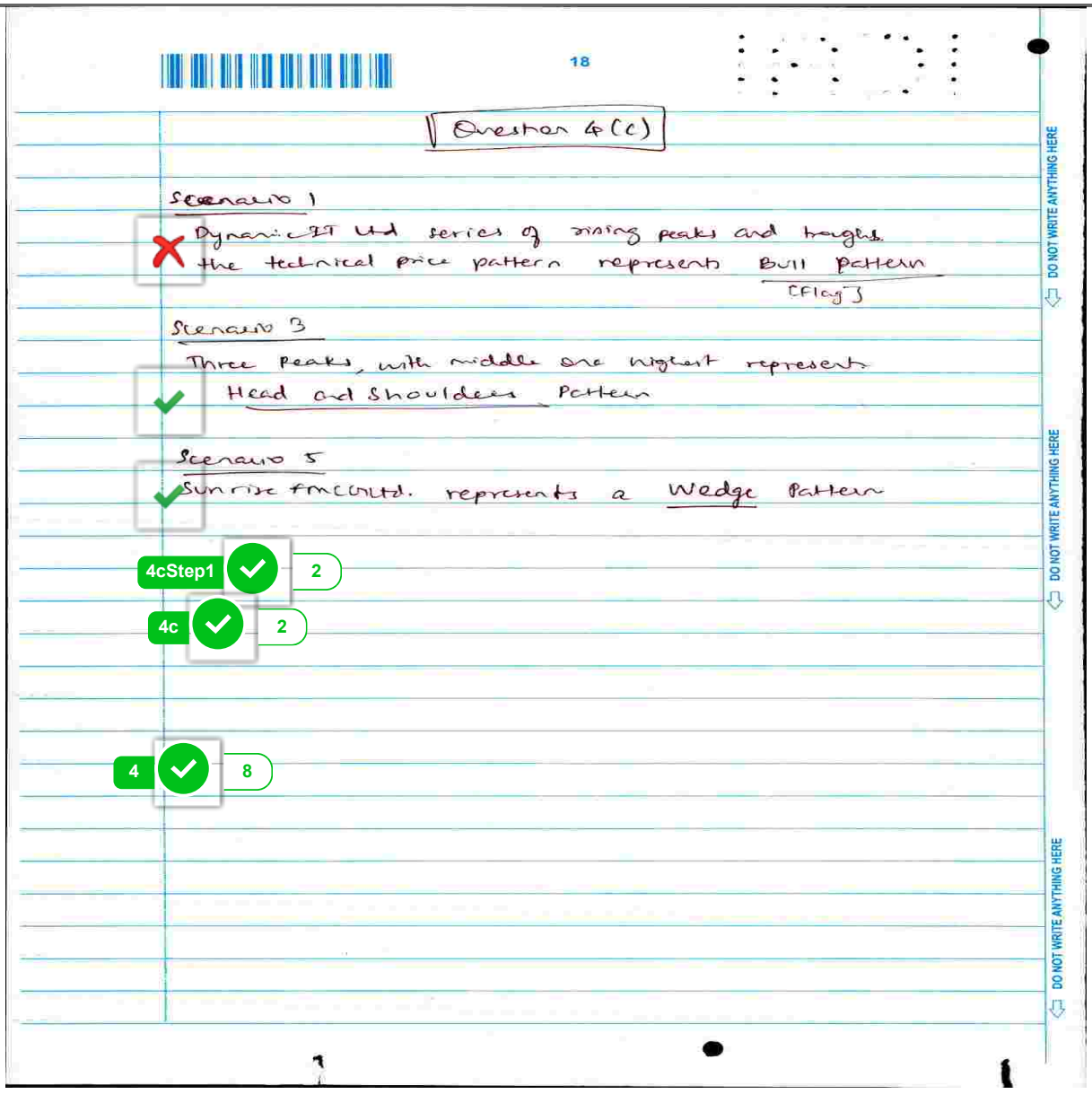
= 4200000 / 700000

= ₹ 6 per share

4bStep1 4

4b 4

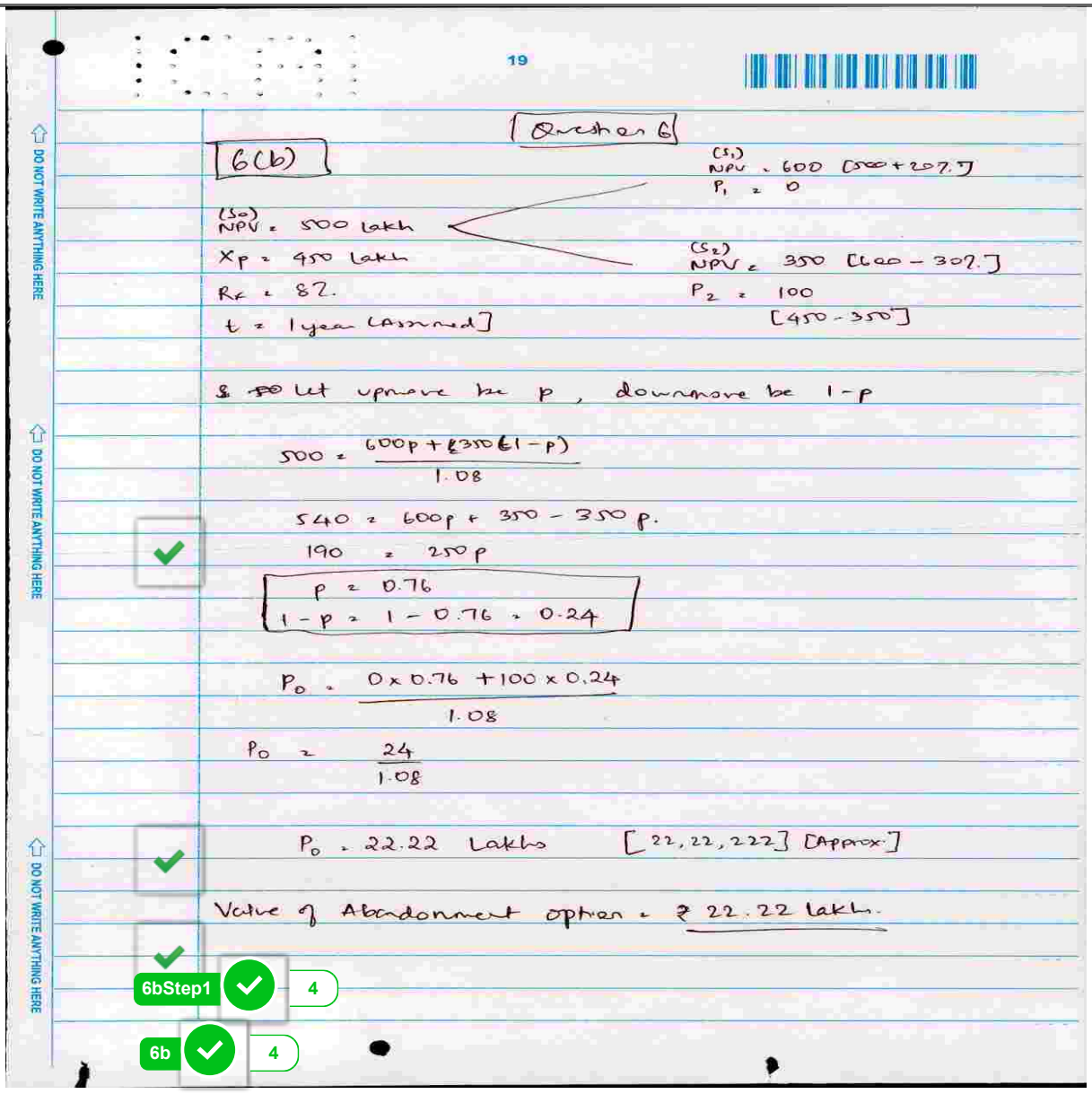
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4cStep1 2

4c 2

4 8



19

Question 6

6(b)

(S_0) NPV = 500 lakh
X_P = 450 lakh
R_f = 8%
t = 1 year (Assumed)

(S_1) NPV = 600 [500 + 20%]
P_1 = 0

(S_2) NPV = 350 [600 − 30%]
P_2 = 100 [450 − 350]

Let upmove be p, downmove be 1 − p

$$500 = \frac{600p + 350(1-p)}{1.08}$$

$$540 = 600p + 350 - 350p$$

$$190 = 250p$$

$$p = 0.76$$

$$1 - p = 1 - 0.76 = 0.24$$

$$P_0 = \frac{0 \times 0.76 + 100 \times 0.24}{1.08}$$

$$P_0 = \frac{24}{1.08}$$

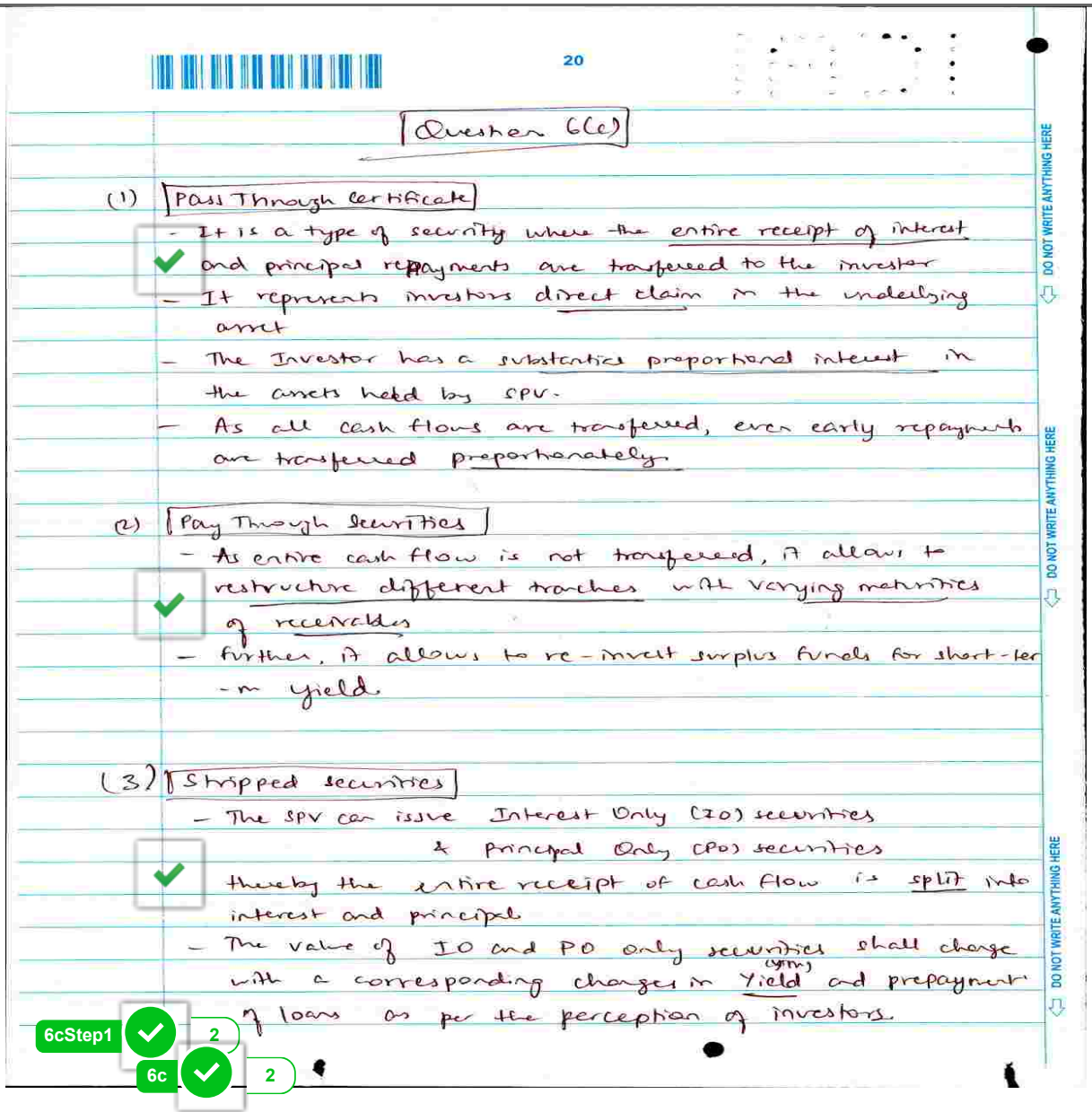
P_0 = 22.22 Lakhs [22,22,222] [Approx.]

Value of Abandonment option = ₹ 22.22 lakhs.

6bStep1 4

6b 4

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20

Question 6(c)

(1) Pass Through Certificate

- It is a type of security where the entire receipt of interest and principal repayments are transfereed to the investor
- It represents investors direct claim in the underlying asset
- The Investor has a substantial proportional interest in the assets held by SPV.
- As all cash flows are transferred, even early repayments are transferred proportionately.

(2) Pay Through Securities

- As entire cash flow is not transfereed, it allows to restructure different tranches with varying maturities of receivables
- further, it allows to re-invest surplus funds for short-term yield.

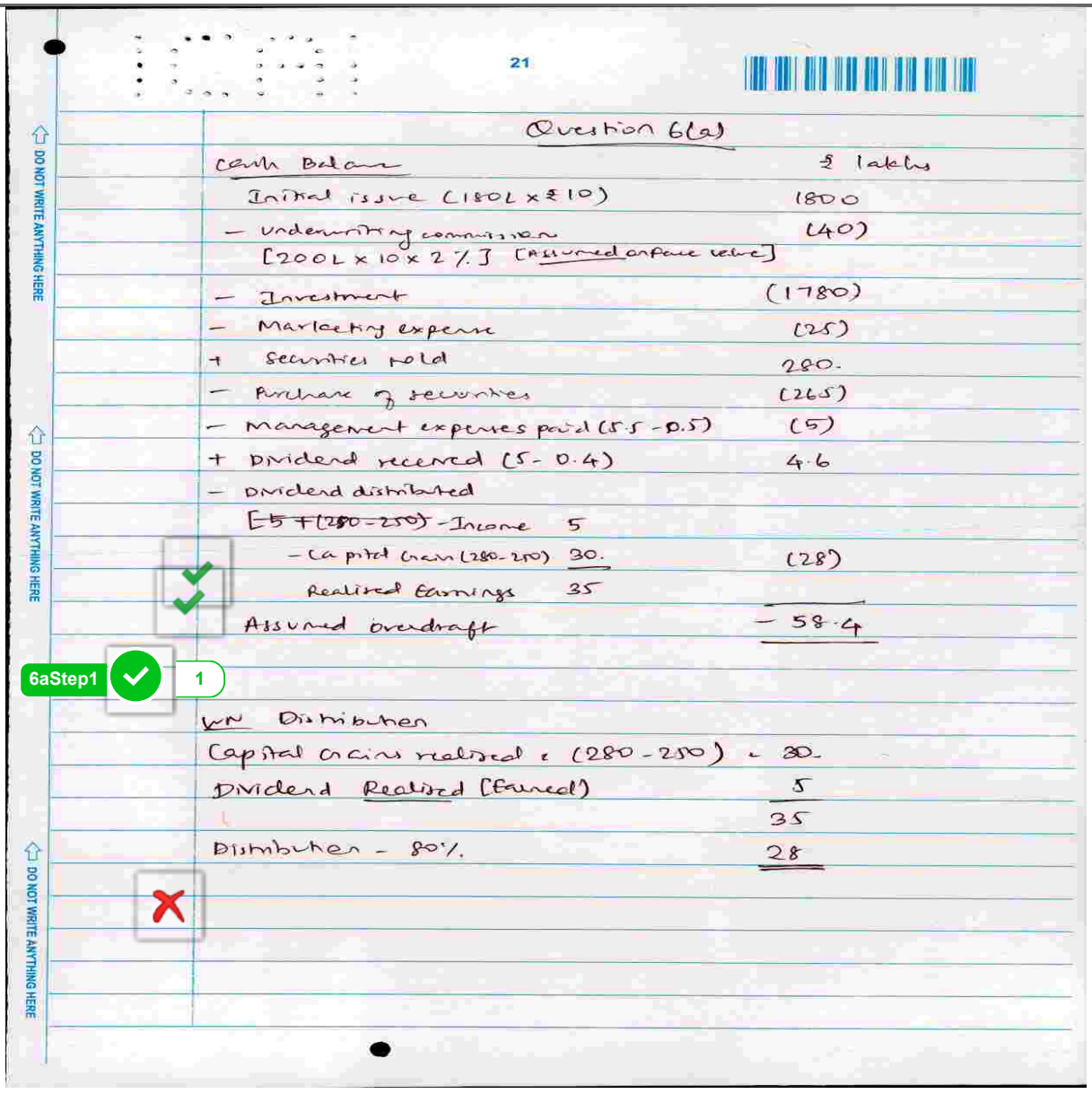
(3) Stripped securities

- The SPV can issue Interest Only (IO) securities & Principal Only (PO) securities thereby the entire receipt of cash flow is split into interest and principal
- The value of IO and PO only securities shall change with a corresponding changes in Yield (ytm) and prepayments of loans as per the perception of investors.

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6cStep1 2

6c 2



21

Question 6(a)

Cash Balance	₹ lakhs
Initial issue (180L x ₹10)	1800
– Underwriting commission [200L x 10 x 2%] [Assumed on Face value]	(40)
– Investment	(1780)
– Marketing expense	(25)
+ Securities sold	280.
– Purchase of securities	(265)
– Management expenses paid (5.5 – 0.5)	(5)
+ Dividend received (5 – 0.4)	4.6
– Dividend distributed	
[5 + (280 – 250) – Income 5	
– Capital Gain (280 – 250) 30.	(28)
Realised Earnings 35	
Assumed overdraft	– 58.4

6aStep1 1

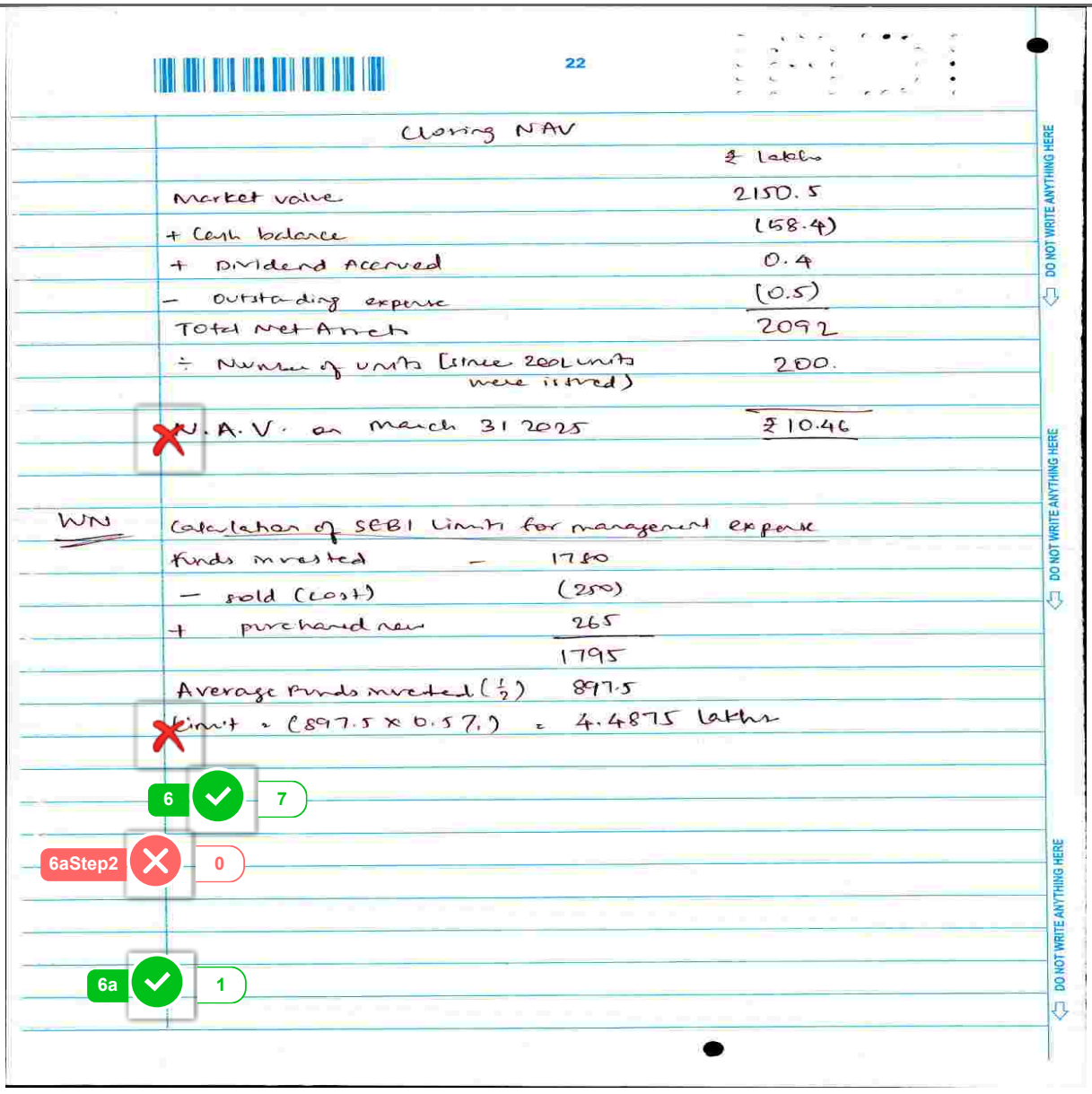
WN Distribution

Capital Gains realised (280 – 250)	30.
Dividend Realised (Earned)	5
	35
Distribution – 80%	28

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Closing NAV

	₹ Lakhs
Market value	2150.5
+ Cash balance	(58.4)
+ Dividend Accrued	0.4
− Outstanding expense	(0.5)
Total Net Amount	2092
÷ Number of units [since 200 Units were issued]	200.
N.A.V. on March 31 2025	₹ 10.46

WN Calculation of SEBI Limit for management expense

Funds invested	1780
− sold (cost)	(250)
+ purchased new	265
	1795
Average Funds invested ($\frac{1}{2}$)	897.5

Limit = (897.5 × 0.5%) = 4.4875 lakhs

6 7

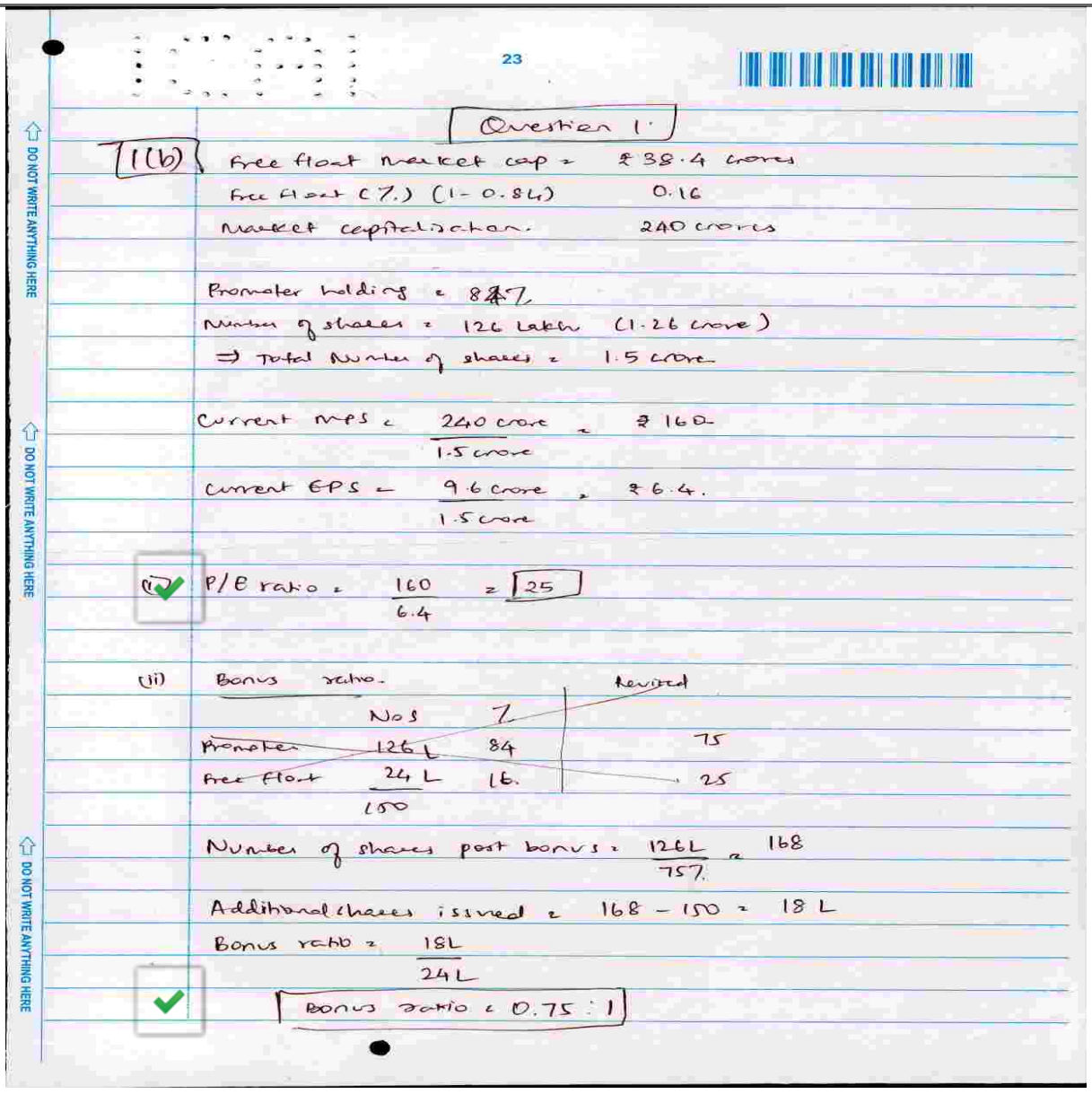
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23

Question 1.

1(b) Free float market cap = ₹ 38.4 crores
Free float (%) (1 - 0.84) 0.16
Market capitalisation. 240 crores

Promoter holding = 84%
Number of shares = 126 Lakh (1.26 crore)
⇒ Total Number of shares = 1.5 crore

Current MPS = $\frac{240 \text{ crore}}{1.5 \text{ crore}}$ = ₹ 160

Current EPS = $\frac{9.6 \text{ crore}}{1.5 \text{ crore}}$ = ₹ 6.4.

(i) P/E ratio = $\frac{160}{6.4}$ = 25

(ii) Bonus ratio.

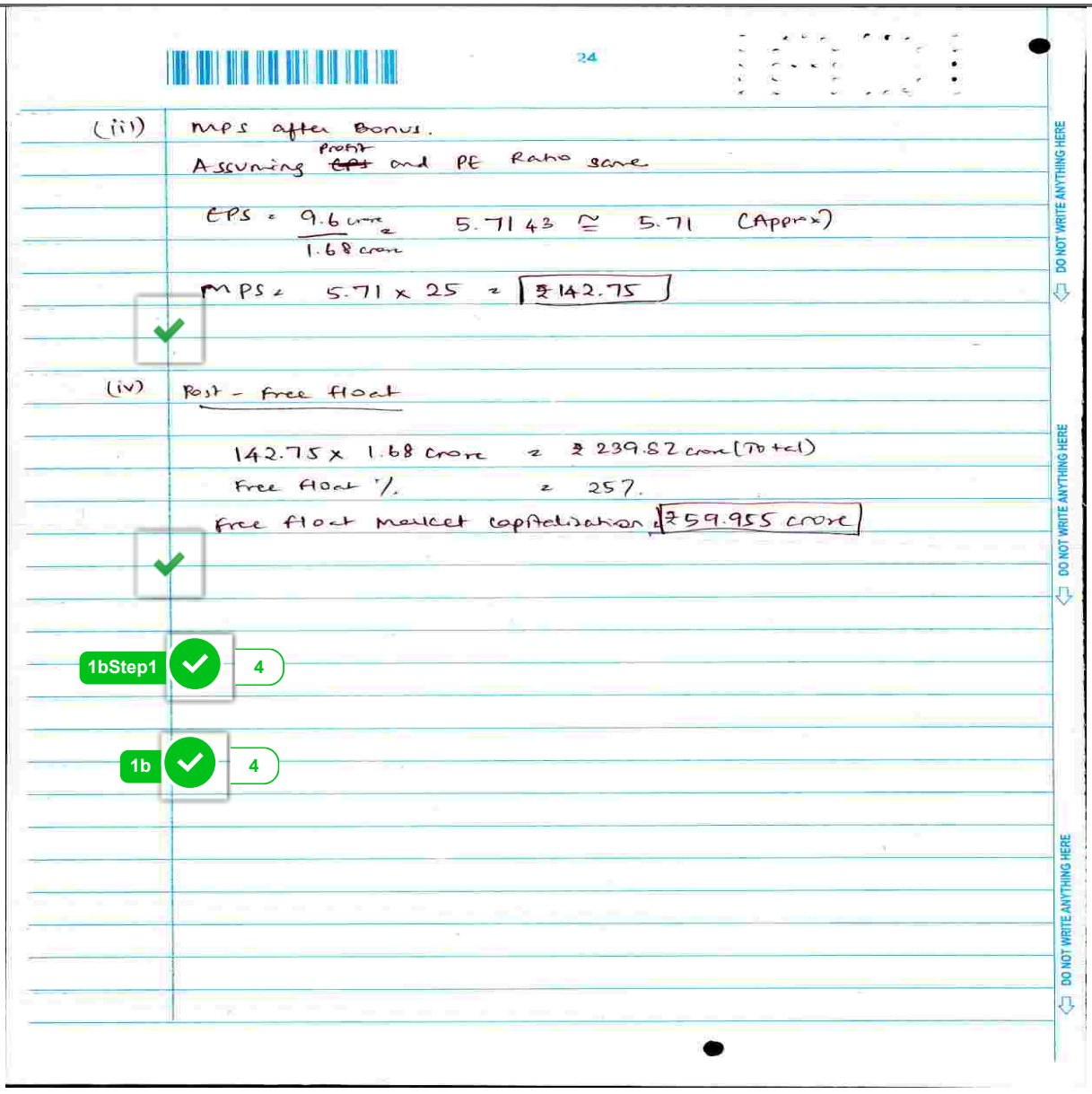
	Nos	%	revised
Promoter	126 L	84	75
Free float	24 L	16	25
	150		

Number of shares post bonus = $\frac{126 \text{ L}}{75\%}$ = 168

Additional shares issued = 168 - 150 = 18 L

Bonus ratio = $\frac{18 \text{ L}}{24 \text{ L}}$

Bonus ratio = 0.75 : 1



24

(iii) MPS after Bonus.

Assuming ~~EPS~~ Profit and PE Ratio same

EPS = 9.6 crore / 1.68 crore = 5.7143 ≅ 5.71 (Approx)

MPS = 5.71 × 25 = ₹142.75

(iv) Post - Free float

142.75 × 1.68 crore = ₹ 239.82 crore (Total)

Free float % = 25%.

Free float Market capitalisation = ₹59.955 crore

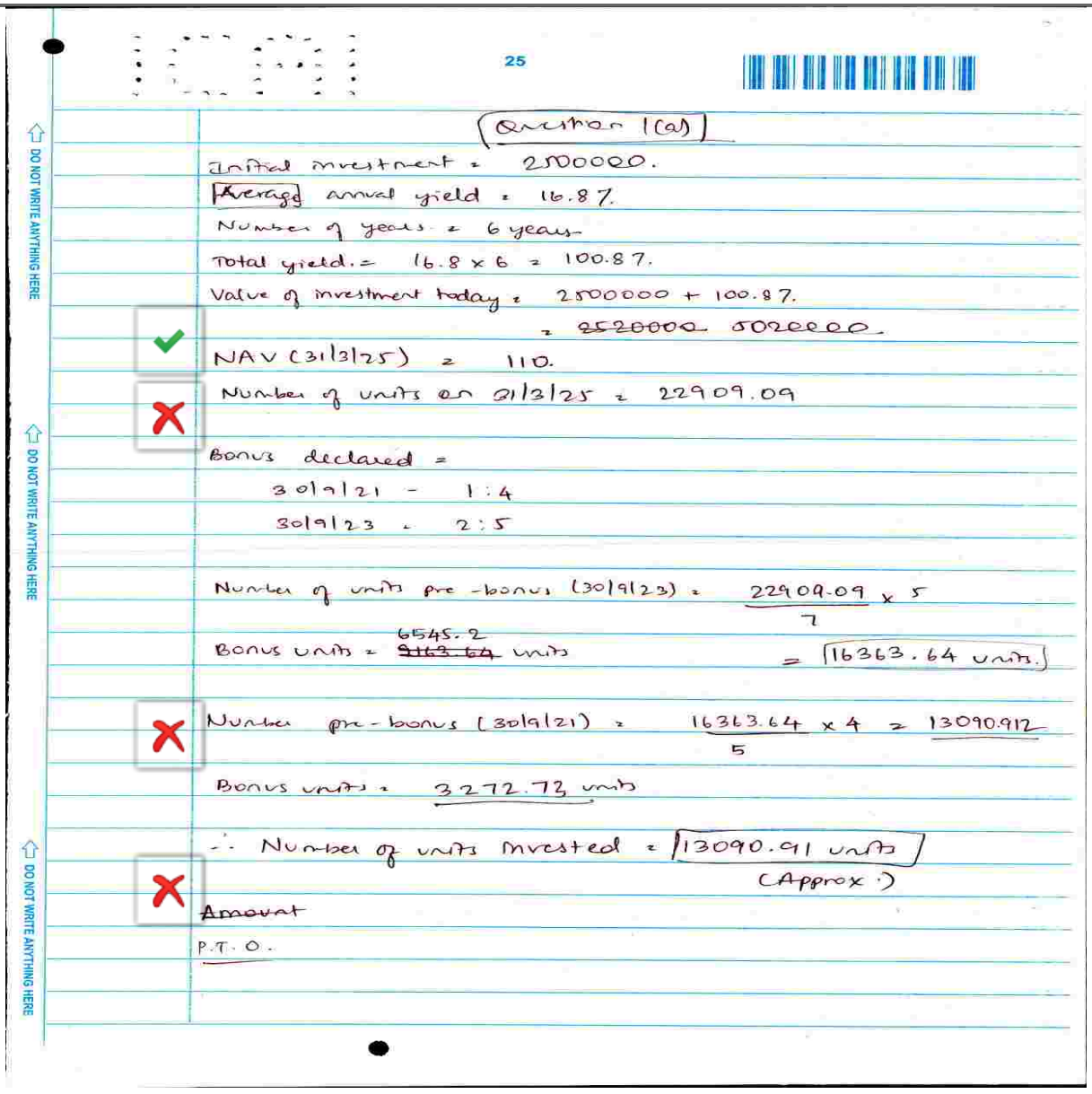
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1b 4

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25

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Question 1(a)

Initial investment = 2500000.

Averaged annual yield = 16.8%.

Number of years = 6 years.

Total yield = 16.8 × 6 = 100.8%.

Value of investment today = 2500000 + 100.8%.

= 2520000 5020000.

NAV (31/3/25) = 110.

Number of units on 31/3/25 = 22909.09

Bonus declared =

30/9/21 - 1:4

30/9/23 - 2:5

Number of units pre-bonus (30/9/23) = $\frac{22909.09}{7} \times 5$

Bonus units = ~~3363.64~~ 6545.2 units = 16363.64 units.

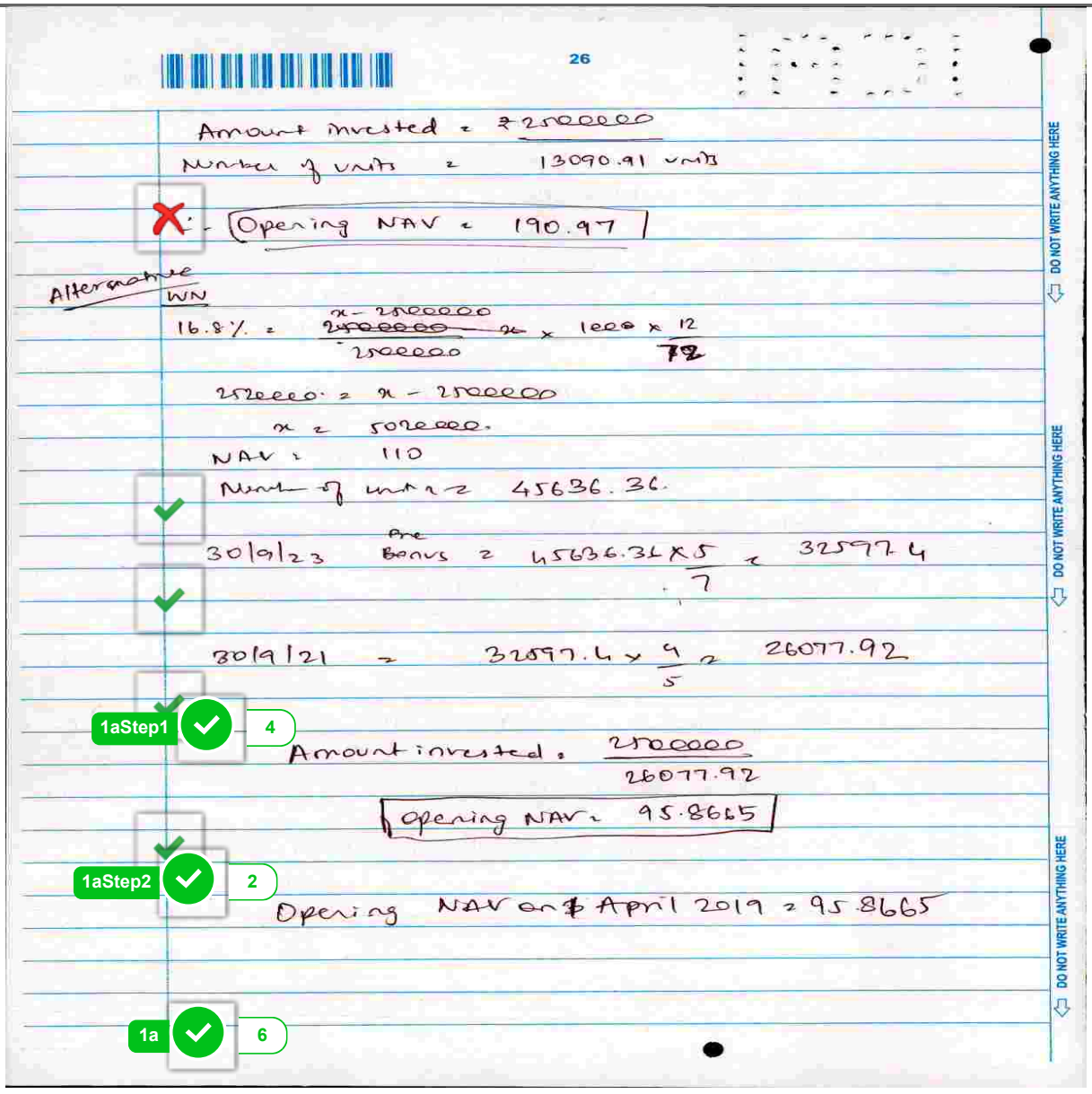
Number pre-bonus (30/9/21) = $\frac{16363.64 \times 4}{5}$ = 13090.912

Bonus units = 3272.73 units

∴ Number of units invested = 13090.91 units (Approx.)

~~Amount~~

P.T.O.

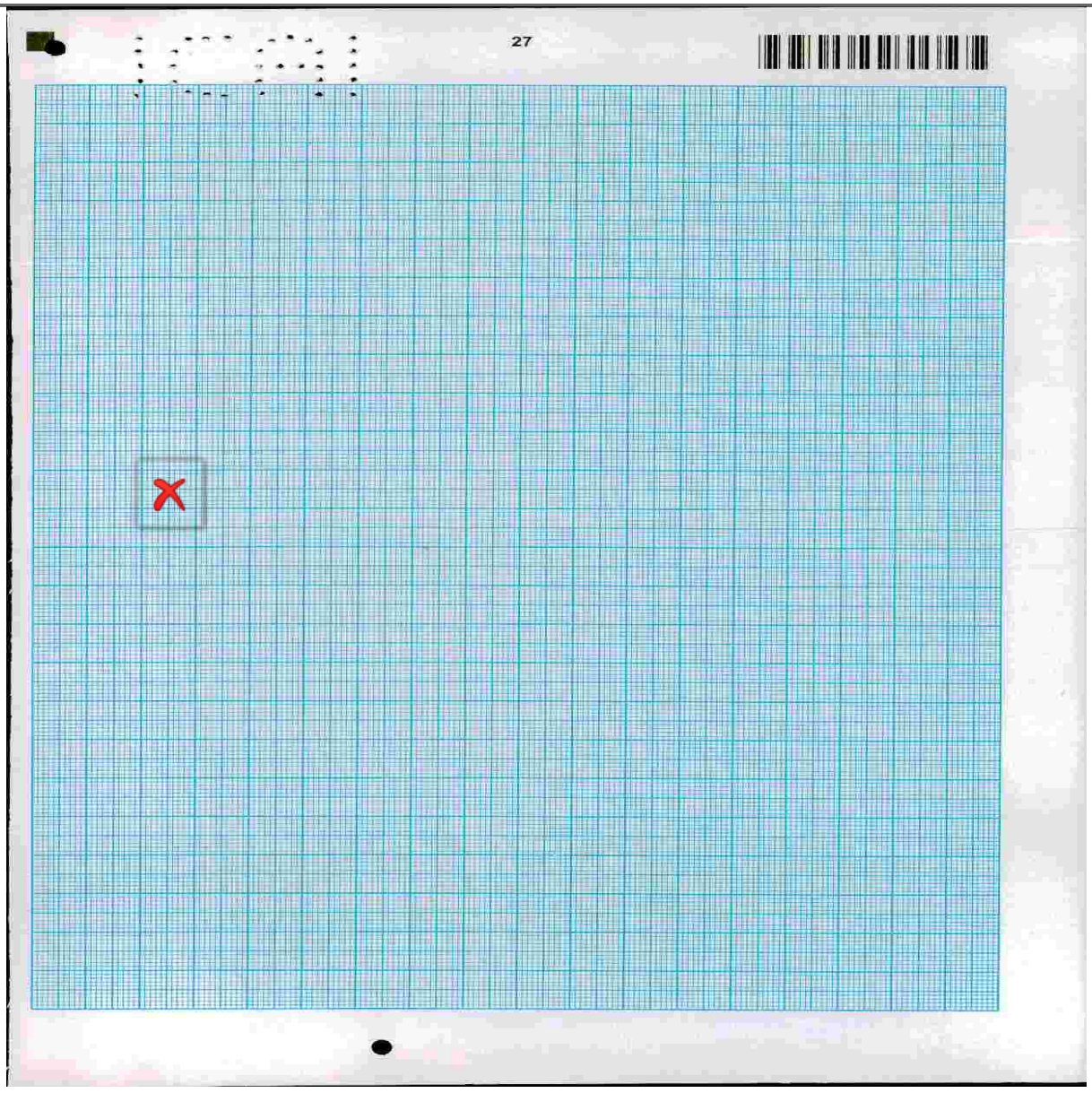


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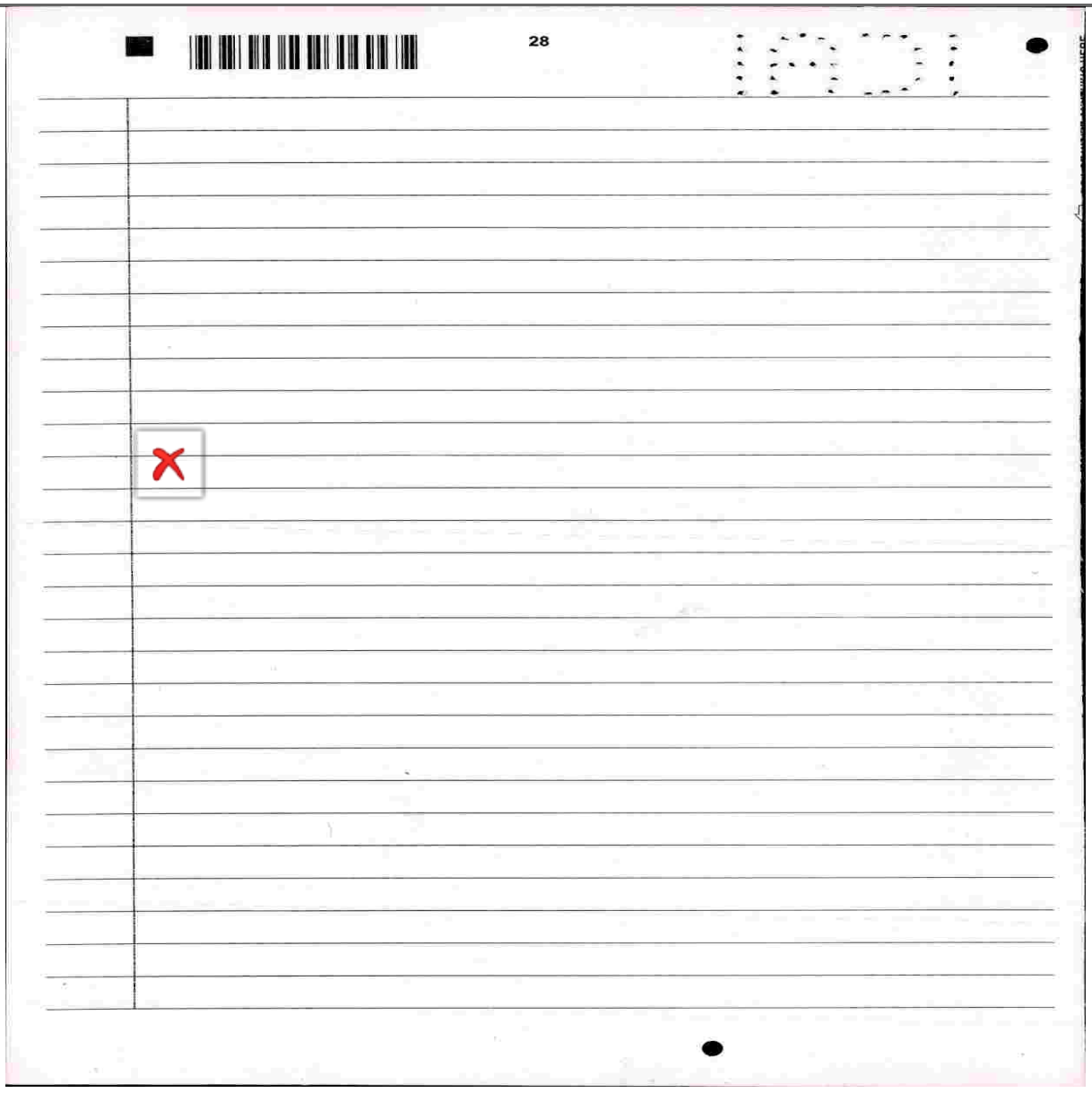
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1a 6

Code:	**FN2AF125179**	**Total Marks:**	**70**
Subject :	**02 Advanced Financial Management**	**Marks Obtained :**	**50**



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2125179-01

Addl. Book No. .....

THE INSTITUTE OF CHARTERED ACCOUNTANTS OF INDIA
ADDL. BOOK

07 JAN 2026

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Question 1(i)

(i) ~~Share price - 550.~~ Premium (Call) = 42 × 150 = 6300.

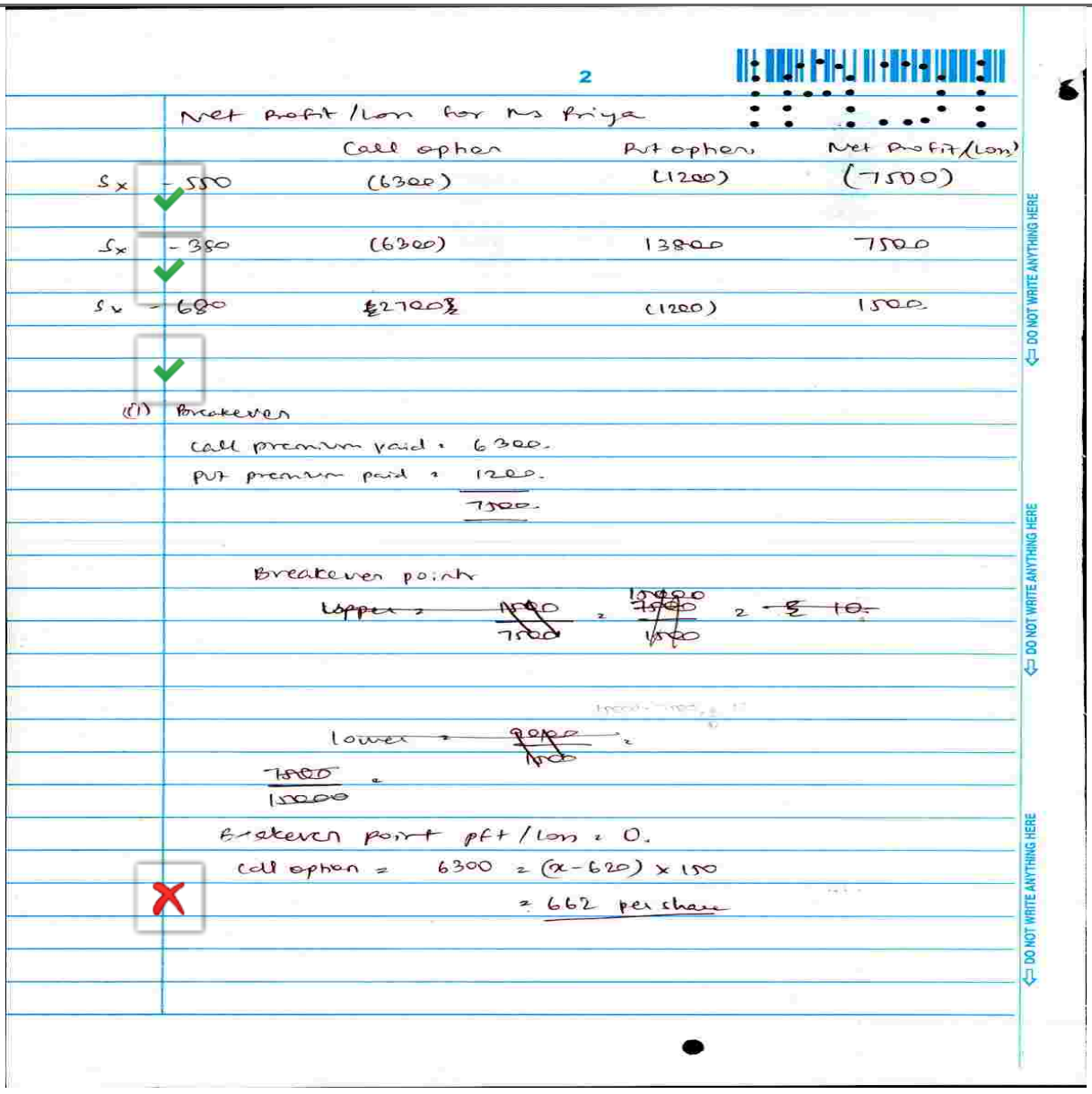
~~Call option.~~

Exercise Call option

	Exercise?	Payoff	Premium	Net
S_x - 550.	No	—	(6300)	(6300)
S_x - 380	No	—	(6300)	(6300)
S_x - 680	Yes.	9000. (680-620)×150	(6300)	2700.

Put option Premium (Put) = 8 × 150 = 1200.

S_x 550	No.		(1200)	(1200)
S_x 380	Yes	15000. (430-380)×150	(1200)	13800
S_x 680 -	No-		(1200)	(1200)



2

Net Profit / Loss for Ms Priya

	Call option	Put option	Net Profit/(Loss)
S_x - 550	(6300)	(1200)	(7500)
S_x - 350	(6300)	13800	7500
S_x - 680	27000	(1200)	15000

(i) Breakeven

Call premium paid : 6300.
Put premium paid : 1200.
7500.

Breakeven point

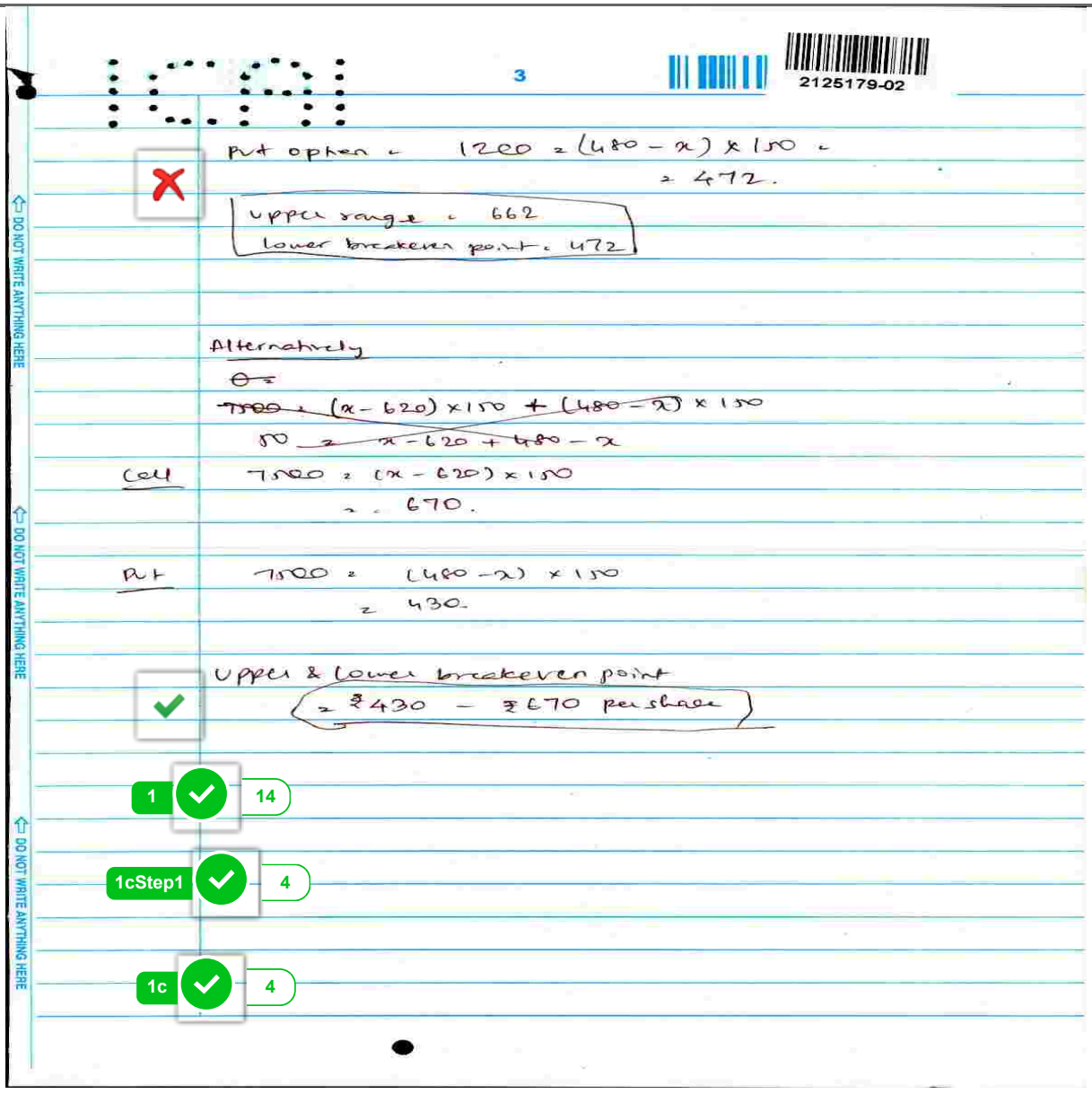
Upper = 7500 / 150 = 50

lower = 7500 / 150 = 50

Breakeven point pft / loss = 0.

call option = 6300 = (x - 620) x 150
= 662 per share

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2125179-02
Put option = 1200 = (480 − x) × 150 =
= 472.
upper range = 662
lower breakeven point = 472
Alternatively
0 =
7500 = (x − 620) × 150 + (480 − x) × 150
50 = x − 620 + 480 − x
Call 7500 = (x − 620) × 150
= 670.
Put 7500 = (480 − x) × 150
= 430.
Upper & lower breakeven point
= ₹430 − ₹670 per share
1
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1cStep1
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4
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Code:	FN2AF125179	Total Marks:	70
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